MORTGAGE AND SECURITY AGREEMENT

prepared by and when recorded return to:
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STATE OF SOUTH CAROLINA)
COUNTY OF CHARLESTON)

THIS MORTGAGE AND SECURITY AGREEMENT (this "**Mortgage**") is made and entered into as of the 15th day of April, 2025 (the "**Closing Date**"), by and between **PALMETTO GATEWAY PARTNERS LLC**, a South Carolina limited liability company, having its principal office at 88 Broad Street, Suite 200, Charleston, South Carolina 29401, South Carolina Secretary of State Filing No. 2024-0011287, Federal Employer Identification No. 84-6213750 (together with its successors and permitted assigns, "**Borrower**"), and **CALVERLEY HERITAGE BANK**, a Georgia state-chartered commercial bank, insured by the Federal Deposit Insurance Corporation, having its principal office at 412 Whitaker Street, Savannah, Georgia 31401, Federal Employer Identification No. 58-2947136 (together with its successors and assigns, "**Lender**").

RECITALS

A. Lender has agreed to make a loan to Borrower in the original principal amount of Fourteen Million Seven Hundred Fifty Thousand and No/100 Dollars ($14,750,000.00) (the "**Loan**"), the proceeds of which will be used to finance, in part, Borrower's acquisition and renovation of the improved real property commonly known as 520–534 King Street, Charleston, South Carolina 29403, as more particularly described on **Exhibit A** attached hereto and incorporated herein (the "**Land**").

B. The Loan is evidenced by that certain Promissory Note of even date herewith made by Borrower payable to the order of Lender in the original principal amount of the Loan (the "**Note**"), and is further evidenced, secured and guaranteed by the Loan Documents described in **Section 1.1**.

C. The Loan is being made on the terms and conditions set forth in that certain Term Sheet — Commercial Real Estate Loan dated April 1, 2025, executed by Lender and Borrower and acknowledged by Neil Ashford Graydon, relating to Deal Reference No. CHB CRE Loan No. 2025-CHS-0047 (the "**Term Sheet**"). The Loan is structured in two components: (i) the Initial Advance of Twelve Million Five Hundred Thousand and No/100 Dollars ($12,500,000.00), funded at closing; and (ii) the Renovation Holdback of Two Million Two Hundred Fifty Thousand and No/100 Dollars ($2,250,000.00), retained by Lender and disbursed to Borrower from time to time on a draw basis in accordance with **Article XII** for costs of the renovation of the Improvements.

D. The Loan is structured as a non-recourse obligation of Borrower, subject to the limited recourse and carve-out exceptions set forth in the Note and in the Guaranty, and is guaranteed by Neil Ashford Graydon, an individual residing at 14 Church Street, Charleston, South Carolina 29401 ("**Guarantor**"), pursuant to the Guaranty.

E. As a condition to making the Loan, Lender requires that the Loan be secured by, among other things, a first-priority mortgage lien on the Land and the Improvements, a first-priority security interest in the personal property, fixtures and other collateral described herein, and an absolute and present assignment of all leases, rents, issues and profits of the Property, in each case as more particularly set forth below.

NOW, THEREFORE, in consideration of the Loan, the sum of Ten and No/100 Dollars ($10.00) and other good and valuable consideration, the receipt and sufficiency of which are hereby acknowledged, Borrower hereby mortgages, grants, bargains, sells, conveys, assigns, transfers, pledges, hypothecates and sets over to Lender, and grants to Lender a continuing general lien upon and security interest in, all of Borrower's right, title and interest, whether now owned or hereafter acquired, in and to the following property, rights and interests (collectively, the "**Mortgaged Property**"), to have and to hold the same unto Lender, its successors and assigns, forever, as security for the payment and performance of the Obligations:

(a) The Real Property. The Land, together with all and singular the tenements, hereditaments, easements, rights-of-way, appurtenances, privileges, royalties, reversions, remainders and improvements now or hereafter situated thereon or appertaining thereto, including without limitation all three (3) tax parcels comprising the Land, identified as Charleston County Tax Map Nos. **460-12-04-007**, **460-12-04-008** and **460-12-04-009**, and including that certain strip of land formerly known as Anson Lane, vacated by City of Charleston Ordinance No. 2019-084 and conveyed to Borrower's predecessor in title by quitclaim deed recorded in Deed Book 1128 at Page 443 in the RMC Office (collectively with the Land, the "**Real Property**");

(b) The Improvements and Fixtures. All buildings, structures, improvements, fixtures and building systems now or hereafter located on, affixed to or used in connection with the Real Property, including without limitation the mixed-use commercial building comprising approximately 31,000 square feet of gross building area, and all HVAC equipment and systems, the passenger elevator, plumbing, electrical systems, fire protection and life-safety systems, lighting, roofing, windows, the decorative iron balcony on the King Street elevation, and all other machinery, apparatus, equipment, fittings and articles of fixtures, together with all replacements, additions, accessions, substitutions and proceeds thereof (the "**Improvements**");

(c) Tangible Personal Property. All furniture, furnishings, trade fixtures, equipment, machinery, tools, supplies, inventory, building materials, construction materials, plans, specifications, drawings and other tangible personal property of

every kind and description now or hereafter owned by Borrower and used or useful in connection with the ownership, operation, renovation, leasing, maintenance or repair of the Real Property;

(d) Intangible Personal Property. All accounts, accounts receivable, general intangibles, chattel paper, instruments, documents, payment intangibles, software, deposit accounts, letter-of-credit rights, investment property, commercial tort claims, permits, licenses, approvals, entitlements, development rights, density rights, zoning rights, governmental authorizations, trade names, trademarks, service marks, goodwill, warranties, guaranties, indemnities and causes of action relating to the Real Property or the Improvements or to the construction, renovation, operation, maintenance, leasing or use thereof, including without limitation all of Borrower's right, title and interest in, to and under the GC Contract and all warranties and guaranties thereunder;

(e) Leases, Rents and Profits. All Leases, subleases, licenses and occupancy agreements now or hereafter affecting the Real Property or any part thereof, together with all rents, security deposits, minimum rents, additional rents, percentage rents, common area maintenance charges, tax and insurance reimbursements, escalation payments, parking revenues, proceeds of rent-loss insurance, and all other issues, profits, revenues, income, receipts and sums of every kind now or hereafter payable under or on account of the use or occupancy of the Real Property, and all rights and remedies of Borrower under the Leases, all as more particularly set forth in **Article IV**;

(f) Accounts, Reserves and Proceeds. All Reserve Accounts, escrows, deposits, trust funds, reserve funds and other accounts now or hereafter maintained with Lender (or with any other Person for the benefit of Lender) in connection with the Loan, all sums on deposit therein, and all proceeds of the conversion, voluntary or involuntary, of any of the foregoing into cash or liquidated claims, including without limitation all insurance proceeds (including premium refunds and unearned premiums), condemnation awards, purchase prices, damages, awards and settlements arising out of any damage to, destruction of, taking of, or conveyance of the Real Property or any part thereof, and all rights of Borrower to receive the same (which proceeds Borrower hereby absolutely assigns to Lender); and

(g) All Accessions and Proceeds. All additions, accessions, substitutions, replacements, renewals, products, offspring, profits, rents, issues, and all cash and noncash proceeds (as defined in the South Carolina Uniform Commercial Code, S.C. Code Ann. § 36-9-101 *et seq.* (the "**UCC**")) of any and all of the foregoing.

TO HAVE AND TO HOLD the Mortgaged Property unto Lender, its successors and assigns, forever, for the purposes and on the terms and conditions set forth in this Mortgage.

ARTICLE I — DEFINITIONS AND INTERPRETATION

Section 1.1 Definitions

In addition to the terms defined elsewhere in this Mortgage, the following terms have the following meanings when used in this Mortgage. Any capitalized term used but not defined in this Mortgage has the meaning given to it in the Note, and if not defined in the Note, in the Term Sheet.

"**Affiliate**" means, with respect to any Person, any other Person that directly or indirectly Controls, is Controlled by, or is under common Control with, such Person. "**Control**" means the possession, directly or indirectly, of the power to direct or cause the direction of the management and policies of a Person, whether through the ownership of voting interests, by contract or otherwise.

"**Applicable Rate**" means the rate of interest borne by the Loan from time to time as determined under the Note, being a floating rate equal to Daily SOFR plus two hundred eighty-five basis points (2.85%) per annum, subject to a SOFR floor of three percent (3.00%) per annum.

"**Business Day**" means any day other than a Saturday, a Sunday or a day on which commercial banks in Savannah, Georgia or Charleston, South Carolina are authorized or required by law to be closed.

"**Completion Guaranty**" means the guaranty of completion described in **Section 5.5(b)** of the Term Sheet, whether contained in the Guaranty or in a separate instrument.

"**CREC**" means the Controlled Recognized Environmental Condition identified with respect to Lot 7 in the Phase I ESA, arising from the historical release of perchloroethylene and petroleum-based solvents at the adjoining property located at 518 King Street, Charleston, South Carolina, formerly operated as "King Street Cleaners," SCDHEC Site ID No. SC-29403-0772.

"**Daily SOFR**" means the Secured Overnight Financing Rate as published by the Federal Reserve Bank of New York (or a successor administrator) on the applicable Business Day, or, if such rate is not published on such Business Day, the rate published on the immediately preceding Business Day, as further defined in the Note.

"**Debt Service**" means, for any period, the sum of (a) all interest accrued and payable on the outstanding principal balance of the Loan during such period at the Applicable Rate (and not at the Default Rate), plus (b) all scheduled principal payments due and payable in respect of the Loan during such period (excluding any balloon, bullet or acceleration payment due on the Maturity Date, and excluding voluntary prepayments and prepayments from casualty, condemnation or other involuntary sources).

"**DSCR**" means, for any Test Period, the ratio of Net Operating Income for such Test Period to Debt Service for such Test Period, expressed as a decimal carried to two decimal places.

"**DSCR Covenant Level**" means 1.25x.

"**Default Rate**" means the per annum rate of interest equal to the Applicable Rate plus five percent (5.00%) per annum, as more particularly set forth in the Note and **Section 14.4**.

"**Environmental Indemnity**" means that certain Environmental Indemnity Agreement of even date herewith executed by Borrower and Guarantor in favor of Lender, as it may be amended, restated or supplemented from time to time.

"**Environmental Laws**" means all federal, state and local statutes, regulations, ordinances, orders, permits and common law requirements relating to pollution, the protection of human health or the environment, or the presence, use, generation, storage, release, threatened release, removal, remediation or disposal of Hazardous Materials, including without limitation CERCLA (42 U.S.C. § 9601 *et seq.*), the Resource Conservation and Recovery Act (42 U.S.C. § 6901 *et seq.*), the Clean Water Act, the Clean Air Act, the Toxic Substances Control Act, and the South Carolina Hazardous Waste Management Act and the South Carolina Pollution Control Act, together with the regulations promulgated thereunder.

"**Event of Default**" has the meaning given in **Section 13.1**.

"**GC Contract**" means that certain construction contract dated on or about the Closing Date between Borrower, as owner, and Beaufort Builders Group LLC, a South Carolina limited liability company holding South Carolina General Contractor License No. SC-GC-47921, as general contractor (the "**General Contractor**"), providing for a contract sum of Two Million Eight Hundred Fifty Thousand and No/100 Dollars ($2,850,000.00), together with all schedules, exhibits, amendments, change orders and modifications thereto.

"**GAAP**" means generally accepted accounting principles in the United States, consistently applied.

"**Payment Date**" means the fifteenth (15th) day of each calendar month, commencing May 15, 2025, being the date on which payments of interest (and, after the Interest-Only Period, principal and interest) are due under the Note.

"**Guaranty**" means, collectively, the guaranty or guaranties of even date herewith executed by Guarantor in favor of Lender described in **Section 5.5** of the Term Sheet, comprising the Guaranty Agreement, the Completion Guaranty and the Payment Guaranty, whether executed as one or more instruments, as the same may be amended, restated or supplemented from time to time.

"**Hazardous Materials**" means petroleum and petroleum products, perchloroethylene, tetrachloroethylene and all other volatile organic compounds, asbestos, polychlorinated biphenyls, urea formaldehyde, radon, mold, and any other substance, material or waste regulated as hazardous, toxic or a contaminant under any Environmental Laws.

"**Independent Manager**" means a natural person who is not, and has not been within five (5) years prior to appointment, a member, manager, officer, employee,

creditor, supplier, customer, contractor, attorney, accountant or affiliate of Borrower, any Member, any Guarantor or any of their respective Affiliates, and who otherwise satisfies the independence requirements described in **Section 8.3**.

"**Initial Advance**" means the initial advance of Loan proceeds in the amount of Twelve Million Five Hundred Thousand and No/100 Dollars ($12,500,000.00), funded on the Closing Date in accordance with the Term Sheet.

"**Interest-Only Period**" means the period commencing on the Closing Date and ending on April 15, 2027, during which monthly payments consist solely of accrued interest on the outstanding principal balance of the Loan in accordance with **Section 3.9** of the Term Sheet and the Note.

"**Leases**" means all present and future leases, subleases, licenses, concessions, occupancy agreements and other agreements (whether written or oral) affecting or demising any portion of the Real Property or the Improvements, including without limitation the Lowcountry Lease, the Harmon & Wren Lease and the Tidemark Lease, together with all guaranties, security agreements, letters of credit, amendments, renewals, extensions and modifications relating thereto.

"**Rents**" means all rents, issues, profits, revenues, income, receipts and other sums of every kind now or hereafter due or payable under or in respect of the Leases or the use or occupancy of the Property, as more particularly described in **Section 4.1**.

"**Loan Documents**" means, collectively, the Note, this Mortgage, the assignment of leases, rents and profits contained in **Article IV**, the Environmental Indemnity, the Guaranty, the UCC-1 financing statements (including the fixture filing), the Operating Agreement Amendment, the Reserve Account agreements or acknowledgments required by Lender, and each other document, instrument, certificate or agreement now or hereafter executed and delivered by Borrower, Guarantor or any other Person to or for the benefit of Lender in connection with the Loan, as each may be amended, restated, supplemented, extended, renewed or otherwise modified from time to time.

"**Lowcountry Lease**" means the lease dated December 15, 2022 between Borrower's predecessor in interest, as landlord, and Lowcountry Provisions Inc., a South Carolina corporation, as tenant, demising Bay 1 (approximately 3,800 rentable square feet of ground-floor retail space) at 520 King Street, Charleston, South Carolina, for a term expiring December 31, 2027, at a current base rent of $28.50 per rentable square foot per annum ($108,300.00 per annum; $9,025.00 per month), subject to a three percent (3%) annual escalation, and providing for a security deposit of $18,050.00.

"**Harmon & Wren Lease**" means the lease dated June 1, 2021 between Borrower's predecessor in interest, as landlord, and Harmon & Wren Design Studio LLC, a South Carolina limited liability company, as tenant, as amended by First Amendment dated September 1, 2023, demising Bay 3 (approximately 3,800 rentable square feet of ground-floor retail space) at 534 King Street, Charleston,

South Carolina, for a term expiring June 30, 2026, at a current base rent of $24.00 per rentable square foot per annum ($91,200.00 per annum; $7,600.00 per month), subject to a two and one-half percent (2.5%) annual escalation, and providing for a security deposit of $15,200.00.

"**Tidemark Lease**" means the lease dated March 15, 2024 between Borrower's predecessor in interest, as landlord, and Tidemark Consulting Group LLC, a Delaware limited liability company registered to do business in South Carolina, as tenant, demising 2nd Floor Suite A (approximately 9,800 rentable square feet of office space) at 520–534 King Street, Charleston, South Carolina, for a term expiring March 31, 2029, at a current base rent of $22.00 per rentable square foot per annum ($215,600.00 per annum; $17,966.67 per month), subject to a two and one-half percent (2.5%) annual escalation, and providing for a security deposit of $35,933.00.

"**LUR**" means that certain land use restriction and institutional control recorded in Deed Book 1203 at Page 89 in the RMC Office for Charleston County, South Carolina, imposed by SCDHEC in connection with SCDHEC Site ID No. SC-29403-0772, which restriction (a) prohibits the use of the ground floor of Lot 7 (Charleston County Tax Map No. 460-12-04-007, constituting Bay 1, 520 King Street) for residential purposes, and (b) requires the maintenance and periodic inspection of the Vapor Barrier, together with any amendment, modification, extension, replacement or successor instrument, and any related environmental covenant, activity and use limitation or institutional control.

"**Maturity Date**" means April 15, 2030, being the date that is five (5) years after the Closing Date, or such earlier date on which the entire outstanding principal balance of the Loan, together with all accrued and unpaid interest and all other amounts due under the Loan Documents, becomes due and payable, whether by acceleration, prepayment or otherwise.

"**Members**" means Graydon Development Group LLC, a South Carolina limited liability company, Tidewater Opportunity Fund II LP, a Delaware limited partnership, and Harborline Capital Advisors LLC, a Delaware limited liability company, and their respective successors and permitted assigns, and any other Person admitted as a member of Borrower after the Closing Date in accordance with the Operating Agreement and **Article IX**.

"**Net Operating Income**" means, for any Test Period, all gross operating revenues actually received by Borrower from the operation of the Real Property during such Test Period (including base rent, additional rent, expense reimbursements, escalations, percentage rent, parking income, and other income, but excluding (a) security deposits, (b) proceeds of insurance and condemnation awards (other than rent-loss insurance proceeds), (c) interest income, (d) capital contributions and loans, and (e) non-recurring income), less all operating expenses of the Real Property incurred during such Test Period determined in accordance with GAAP on an accrual basis consistently applied, including real property taxes, insurance premiums, utilities, repairs and maintenance, management fees not exceeding four percent (4%) of gross revenues, common area maintenance costs

and allocations to a replacement reserve of not less than $0.25 per rentable square foot per annum, but excluding (i) Debt Service, (ii) capital expenditures, (iii) depreciation, amortization and other non-cash items, (iv) income and franchise taxes, (v) expenses attributable to the Renovation (which are capitalized), and (vi) leasing commissions and tenant improvement costs. Net Operating Income shall be subject to adjustment by Lender to normalize (x) non-recurring items, (y) leases at rents below then-prevailing market rent to the extent of any free-rent, abatement or below-market period, and (z) the annualized effect of any Lease executed during the Test Period as though such Lease had been in effect for the entire Test Period.

"**Obligations**" means all present and future debts, obligations and liabilities of Borrower to Lender under or in respect of the Loan Documents, whether direct or indirect, absolute or contingent, due or to become due, now existing or hereafter arising, whether for principal, interest, fees, late charges, prepayment premiums, yield maintenance amounts, costs, expenses, indemnities or otherwise, and including without limitation all future advances made by Lender under this Mortgage, the Renovation Holdback, all Protective Advances, and all interest and other amounts accruing after the commencement of any bankruptcy, insolvency or similar proceeding (whether or not allowed as a claim in such proceeding).

"**Operating Agreement**" means the Amended and Restated Operating Agreement of Borrower dated effective as of January 12, 2024, as amended through March 1, 2025, as further amended by the Operating Agreement Amendment and as otherwise amended, restated or supplemented from time to time in accordance with **Section 9.5**.

"**Operating Agreement Amendment**" means an amendment to the Operating Agreement, in form and substance satisfactory to Lender, adding the SPE Provisions, the Independent Manager requirement, the separateness covenants and the unanimity requirement for bankruptcy filings, dissolution, merger and consolidation described in **Article VIII**, executed by all Members and, in the case of Tidewater Opportunity Fund II LP, by its general partner, Tidewater GP Holdings LLC.

"**Payment Guaranty**" means the guaranty of interest shortfall described in **Section 5.5(c)** of the Term Sheet.

"**Permitted Exceptions**" means those exceptions to title listed on **Exhibit B** and approved in writing by Lender, together with any other matter that Lender may hereafter approve in writing in its reasonable discretion.

"**Person**" means any individual, corporation, partnership, limited liability company, joint venture, trust, association, unincorporated organization, governmental authority or other entity.

"**Phase I ESA**" means that certain Phase I Environmental Site Assessment, Report No. CLR-2025-0119, dated January 28, 2025, prepared by Clearfield Environmental Consulting LLC in accordance with ASTM E1527-21.

"**Property**" means the Real Property and the Improvements, collectively.

“**Protective Advance**” means any payment or advance made by Lender pursuant to **Section 14.6**.

“**RMC Office**” means the Office of the Register of Mesne Conveyances for Charleston County, South Carolina.

“**Renovation**” means the renovation, restoration, modernization and improvement of the Improvements contemplated by the Renovation Budget and the GC Contract, comprising HVAC replacement, elevator modernization, façade restoration, tenant improvement allowances, and soft costs and contingency.

“**Renovation Budget**” means the total renovation budget of Three Million One Hundred Fifty Thousand and No/100 Dollars ($3,150,000.00), comprising the line items and allocations set forth on **Exhibit C**, as the same may be revised only with Lender’s prior written approval in accordance with **Section 12.4(g)**.

“**Renovation Holdback**” means the portion of the Loan proceeds in the amount of Two Million Two Hundred Fifty Thousand and No/100 Dollars ($2,250,000.00), being the amount by which the Loan exceeds the Initial Advance, held by Lender and disbursed on a draw basis in accordance with **Article XII**.

“**Reserve Accounts**” means, collectively, the Tax and Insurance Escrow Account, the Capital Replacement Reserve Account and the Tenant Improvement and Leasing Commission Reserve Account established and maintained with Lender, together with all subaccounts thereof and all sums on deposit therein.

“**SCDHEC**” means the South Carolina Department of Health and Environmental Control.

“**SOFR Floor**” means three percent (3.00%) per annum, as described in **Section 3.6** of the Term Sheet.

“**SPE**” and “**Single-Purpose Entity**” mean a Person that satisfies the requirements of **Article VIII**, including the SPE Provisions.

“**SPE Provisions**” means the single-purpose, separateness, bankruptcy-remoteness and Independent Manager provisions required by **Article VIII** to be contained in the Operating Agreement and in Borrower’s certificate of formation.

“**Substantial Completion**” means the completion of all Renovation work in accordance with the approved plans and specifications, as certified by Borrower’s architect, and the issuance of a certificate of occupancy (or equivalent) by the City of Charleston for the renovated portions of the Improvements.

“**Substantial Completion Deadline**” means June 15, 2026, being the date that is fourteen (14) months after the Closing Date, as described in **Section 8.3** of the Term Sheet.

“**Tax and Insurance Escrow Account**” has the meaning given in **Section 11.1**.

“**Tenant**” means each of Lowcountry Provisions Inc., Harmon & Wren Design Studio LLC and Tidemark Consulting Group LLC, and each other Person that hereafter becomes a tenant under a Lease.

“**Tenant Improvement and Leasing Commission Reserve Account**” has the meaning given in **Section 11.3**.

“**Test Period**” means each period of four (4) consecutive fiscal quarters of Borrower (that is, each trailing twelve-month period) ending on the last day of a fiscal quarter of Borrower, commencing with the fiscal quarter ending June 30, 2027.

“**Title Insurer**” means Commonwealth National Title Underwriters Inc., as underwriter, acting through its authorized agent Prestige Title & Settlement Services LLC.

“**Title Policy**” means the ALTA Loan Policy (06-17-06) with South Carolina modifications, issued by the Title Insurer in favor of Lender in the amount of $14,750,000.00 pursuant to Commitment No. PT-2025-04-1178, effective February 28, 2025, together with all endorsements thereto required by Lender.

“**Vapor Barrier**” means the vapor barrier system installed beneath the concrete floor slab of Bay 1 on Lot 7 (Charleston County Tax Map No. 460-12-04-007) during the remediation activities conducted under SCDHEC oversight for SCDHEC Site ID No. SC-29403-0772, the maintenance, inspection and protection of which is required by the LUR.

Section 1.2 Terms Defined Elsewhere; Interpretation

(a) The terms “**Lockout Period**,” “**Yield Maintenance Period**,” “**Open Prepayment Period**,” “**Yield Maintenance Premium**,” “**Treasury Rate**” and “**Prepayment Premium**” have the meanings given in **Article XII**.

(b) In this Mortgage, unless the context otherwise requires: (i) references to Articles, Sections and Exhibits are to Articles and Sections of, and Exhibits to, this Mortgage; (ii) the headings are for convenience only and do not affect interpretation; (iii) “including” means “including without limitation”; (iv) “or” is not exclusive; (v) references to any statute, regulation or agreement include any amendment, replacement or successor thereto; (vi) the singular includes the plural and vice versa; (vii) references to “days” mean calendar days unless Business Days are specified; (viii) dollar amounts are in lawful money of the United States; and (ix) this Mortgage is the product of negotiation between sophisticated parties represented by counsel and shall not be construed against Lender as the drafter.

ARTICLE II — GRANT OF LIEN; LEGAL DESCRIPTION; FUTURE ADVANCES

Section 2.1 Lien

Borrower hereby mortgages, grants, bargains, sells, conveys, assigns, transfers and sets over to Lender, and grants to Lender a first-priority lien on and security interest in, the Mortgaged Property, effective as of the Closing Date, as security for the full and punctual payment and performance of the Obligations, subject only to the Permitted Exceptions. This Mortgage is intended to be and shall be construed as a mortgage of real property and a security agreement creating a security interest in personal property and fixtures under the UCC.

Section 2.2 Legal Description

The Land is more particularly described on **Exhibit A** attached hereto and incorporated herein by reference. The Land comprises three (3) contiguous parcels designated as Lots 7, 8 and 9 of the Hampstead Village Plat, as recorded in Plat Book 41 at Page 218 in the RMC Office (Charleston County Tax Map Nos. 460-12-04-007, 460-12-04-008 and 460-12-04-009), together with that certain strip of land formerly known as Anson Lane, vacated by City of Charleston Ordinance No. 2019-084 and conveyed to Borrower’s predecessor in title by quitclaim deed recorded in Deed Book 1128 at Page 443 in the RMC Office.

Section 2.3 Future Advances

This Mortgage secures not only the Initial Advance but also the Renovation Holdback and all other present and future advances made by Lender to or for the benefit of Borrower under or in connection with the Loan Documents, whether or not such advances are obligatory on the part of Lender, together with all Protective Advances, and all interest, costs, charges, expenses and other amounts described in **Section 1.1** under the definition of “Obligations.” The total amount of the indebtedness secured hereby, exclusive of interest, costs, expenses, indemnities, prepayment premiums, and advances made to protect the Mortgaged Property, is Fourteen Million Seven Hundred Fifty Thousand and No/100 Dollars ($14,750,000.00). Lender shall be entitled to a future advance endorsement to the Title Policy insuring such advances to the extent provided in **Section 5.6** of the Term Sheet.

Section 2.4 Assignment of Claims and Contracts

Borrower hereby collaterally assigns to Lender, as further security for the Obligations, all of Borrower’s right, title and interest in, to and under (a) the GC Contract, including all rights to enforce warranties, retainage rights, liquidated damages, change-order rights and claims thereunder; (b) all architectural, engineering, construction-management and design professional agreements relating to the Renovation; and (c) all warranties, guaranties, surety bonds and indemnities relating to the design, construction or Renovation of the Improvements. Borrower shall deliver to Lender a consent and acknowledgment in form satisfactory to Lender from the General Contractor and each design

professional whose agreement is assigned pursuant to this Section, and Borrower shall not amend, waive, terminate or materially modify any such agreement without Lender’s prior written consent. Lender’s rights under this Section are exercisable only upon and during the continuance of an Event of Default, and prior to such time Borrower may perform its obligations and enforce its rights thereunder in the ordinary course, subject to the terms of this Mortgage.

ARTICLE III — WARRANTIES OF TITLE; PERMITTED EXCEPTIONS

Section 3.1 Title Warranties

Borrower represents, warrants and covenants to Lender that: (a) Borrower is the sole fee simple owner of the Real Property, holding good and marketable title thereto, subject only to the Permitted Exceptions; (b) this Mortgage constitutes a valid first-priority lien on and security interest in the Mortgaged Property, subject only to the Permitted Exceptions, and no consent, approval or filing (other than the recording and filing contemplated by **Section 17.11**) is required in connection therewith that has not been obtained; (c) Borrower has the full right, power and authority to mortgage, assign and pledge the Mortgaged Property as provided herein; (d) there are no delinquent real property taxes, assessments or governmental charges affecting the Real Property; (e) there are no mechanic’s, materialman’s or construction liens filed against the Mortgaged Property, and Borrower has not received any notice of intent to file any such lien; and (f) Borrower has not previously mortgaged, assigned or pledged, and shall not mortgage, assign or pledge, any interest in the Mortgaged Property other than to Lender.

Section 3.2 The Anson Lane Parcel

Without limiting **Section 3.1**, Borrower acknowledges and agrees that: (a) the portion of the Land described as Parcel Two on **Exhibit A** (the vacated Anson Lane strip) was conveyed to Borrower’s predecessor in title by quitclaim deed recorded in Deed Book 1128 at Page 443 in the RMC Office, and Borrower takes such parcel without warranty of title except as set forth in the deed from Hampstead Village Holdings LLC to Borrower; (b) Borrower has caused the Title Insurer to insure fee simple title to Parcel Two in the Title Policy without any Schedule B-II exception that excludes, excepts, qualifies or limits the estate insured as less than fee simple, and Borrower shall deliver at closing either (i) the Title Policy containing no such exception as to Parcel Two, or (ii) an endorsement to the Title Policy (including, at Lender’s election, ALTA Endorsement 34 (Identified Exception) or equivalent, or such other affirmative coverage as Lender may reasonably require) affirmatively insuring over any such exception, in each case at Borrower’s sole expense; (c) Borrower shall, upon Lender’s request, use commercially reasonable efforts to obtain from the City of Charleston such confirmatory instruments, quitclaim deeds or ordinances as may be necessary to permit the Title Insurer to continue such coverage; and (d) Borrower shall not grant, release or relinquish any right of access, loading or parking over or across Parcel Two without Lender’s prior written consent. Borrower’s failure to satisfy the requirements of clause (b) of this Section as of the Closing Date shall constitute a failure of a condition precedent to

Lender’s obligation to fund the Initial Advance under **Section 12.1(b)** of the Term Sheet, unless waived by Lender in writing.

Section 3.3 Balcony Encroachment

Lender acknowledges that a decorative iron balcony extends approximately two and one-half (2.5) feet beyond the front façade of the Improvements over and across the King Street public right-of-way, as shown on the ALTA/NSPS Land Title Survey prepared by Cartwright Land Surveying LLC dated January 15, 2025 and as described in Exception 5 of Schedule B, Part II of the Title Commitment. Borrower represents and warrants that, to Borrower’s knowledge, no governmental authority has asserted that such encroachment constitutes a violation of law or has required its removal. Borrower covenants that it shall (a) use commercially reasonable efforts to obtain and maintain in effect, within ninety (90) days after the Closing Date, a valid encroachment license, permit or other authorization from the City of Charleston for the balcony, and shall deliver a copy thereof to Lender upon receipt; (b) procure at closing, at Borrower’s expense, a survey/encroachment endorsement to the Title Policy (ALTA Endorsement 28.1 or equivalent) if available from the Title Insurer on commercially reasonable terms; (c) include the balcony repair and stabilization within the scope of the façade restoration line item of the Renovation Budget; and (d) not remove, alter or materially modify the balcony without Lender’s prior written consent, except to the extent required by any governmental authority, in which case Borrower shall give Lender at least five (5) Business Days’ prior written notice (or such shorter notice as is practicable) and shall promptly furnish copies of all related notices, permits and orders to Lender.

Section 3.4 SCDHEC Land Use Restriction; Environmental Condition of the Property

Borrower represents, warrants and covenants to Lender that: (a) Borrower has received and reviewed a copy of the Phase I ESA and the recorded LUR; (b) other than the CREC and the LUR, there are no Recognized Environmental Conditions, Historical Recognized Environmental Conditions, Hazardous Materials, underground or above-ground storage tanks, or violations of Environmental Laws affecting the Property; (c) the current use of Bay 1 as a specialty grocery is consistent with the LUR; (d) Borrower has delivered to Lender a complete copy of the SCDHEC file for Site ID No. SC-29403-0772 (including the No Further Action determination dated August 12, 2021, with all conditions and attachments), or shall deliver the same within ten (10) Business Days after the Closing Date; and (e) Borrower is not aware of any pending or threatened notice, claim, order or proceeding by SCDHEC or any other governmental authority alleging noncompliance with the LUR or otherwise relating to the CREC.

Section 3.5 No Reliance on Lender

Borrower acknowledges that Lender has made no representation or warranty to Borrower regarding the physical, environmental, structural, title or economic condition of the Property, the existence or sufficiency of the LUR, the integrity of the Vapor Barrier, the sufficiency of the Renovation Budget, or the availability of

any encroachment license for the balcony, and that Borrower has made its own independent investigation thereof.

ARTICLE IV — ABSOLUTE ASSIGNMENT OF LEASES, RENTS AND PROFITS

Section 4.1 Absolute and Present Assignment

For value received, Borrower hereby **unconditionally, absolutely and presently** grants, bargains, sells, conveys, transfers, assigns and sets over to Lender all of Borrower's right, title and interest, whether now owned or hereafter acquired, in and to: (a) all Leases, including the Lowcountry Lease, the Harmon & Wren Lease and the Tidemark Lease, and all extensions, renewals, amendments, replacements and substitutions thereof and all new Leases hereafter entered into; (b) all rents, issues, profits, revenues, income, receipts and other sums of every kind now or hereafter due or payable under or in respect of the Leases or the use or occupancy of the Property, including base rent, additional rent, percentage rent, expense and tax reimbursements, escalations, parking and other revenues, and all sums paid or payable on account of any Lease termination, surrender, buy-out or settlement; (c) all security deposits, prepaid rent, letters of credit and other collateral held in connection with the Leases; (d) all guaranties of the Leases and all rights and remedies of Borrower thereunder; and (e) all proceeds of the foregoing. This assignment is intended to be, and shall be construed as, an absolute and present assignment of the Leases and Rents and not merely a collateral assignment or an assignment as additional security.

Section 4.2 Statutory Acknowledgment; Perfection and Enforcement

The parties intend that this **Article IV** constitute an assignment of rents within the meaning of the Uniform Assignment of Rents Act as enacted in the State of South Carolina (the "**UARAA**"), and that all of the rights and remedies afforded to an assignee thereunder be available to Lender. Borrower acknowledges that: (a) this Mortgage, including this absolute assignment, is effective upon execution and delivery; (b) Lender's interest in the Rents is perfected upon recording of this Mortgage in the RMC Office; and (c) Lender's right to enforce the assignment, including its right to collect the Rents directly from the Tenants, arises upon the occurrence and during the continuance of an Event of Default, without the necessity of obtaining a court order, appointing a receiver, or taking possession of the Property, subject to the notice requirements of **Section 4.4** and applicable law.

Section 4.3 License to Borrower to Collect Rents

Notwithstanding **Sections 4.1** and **4.2**, Lender grants to Borrower a revocable license to collect, and to retain and use, the Rents in the ordinary course of business until the occurrence of an Event of Default. Such license is automatically revoked, without further notice or action, upon the occurrence of an Event of Default, and Lender may thereupon exercise any and all rights and remedies under this **Article IV**, at law or in equity, including the right to notify Tenants to pay Rents directly to Lender. Borrower shall, promptly upon Lender's written request

(and in any event within five (5) Business Days), execute and deliver to each Tenant a notice in form satisfactory to Lender directing such Tenant to pay all Rents directly to Lender or its designee; Borrower hereby irrevocably appoints Lender as its attorney-in-fact for the limited purpose of executing and delivering such notices if Borrower fails to do so.

Section 4.4 Notice to Tenants

Lender shall not be obligated to notify any Tenant of this assignment prior to the occurrence of an Event of Default. Upon the occurrence and during the continuance of an Event of Default, Lender may, at its election, give written notice to any or all Tenants directing payment of Rents to Lender, and each Tenant shall thereafter be authorized and directed to make all payments of Rents directly to Lender, and Borrower shall have no right to collect or receive any Rents. Any Tenant who makes payment to Lender in accordance with such notice shall be discharged from any further obligation to Borrower with respect to such payment.

Section 4.5 Borrower’s Warranties Regarding Leases

Borrower represents, warrants and covenants that: (a) the rent roll delivered to Lender and attached as **Exhibit D** is true, correct and complete as of the Closing Date; (b) Borrower has good right, full power and lawful authority to absolutely assign the Leases and the Rents, including without limitation the Lowcountry Lease, notwithstanding the absence of any assignment, subletting or consent-to-assignment provision in the Lowcountry Lease, and Borrower has not previously assigned, pledged or encumbered the Leases or the Rents; (c) each Lease is in full force and effect and, to Borrower’s knowledge, no default or event of default exists thereunder on the part of landlord or tenant, and no Tenant has asserted any offset, defense, claim in recoupment or withholding right; (d) Borrower has delivered to Lender true and complete copies of each Lease, together with all amendments, guaranties and side letters; (e) no Lease contains any option to purchase, right of first refusal to purchase, or other right in favor of any Tenant to acquire any interest in the Property, other than the right of first refusal in favor of Harmon & Wren Design Studio LLC with respect to the leasing of Bay 2 (approximately 3,800 rentable square feet) as set forth in the Harmon & Wren Lease, which is a right to lease only and not a right to purchase; (f) no Rents have been collected in advance of the current month other than as disclosed in **Exhibit D**, and all security deposits held under the Leases are as set forth in **Exhibit D** ($69,183.00 in the aggregate) and are held by Borrower and shall be maintained in accordance with applicable law; and (g) Borrower has not received any notice from any Tenant of any intention to terminate, surrender, vacate or materially reduce its leased premises, other than the renewal and termination rights disclosed in **Exhibit D**.

Section 4.6 Payment of Taxes; No Liability of Lender

Borrower shall pay, before delinquency, all real property taxes, assessments and governmental charges levied against the Property. Lender shall not be liable for, and shall not have any obligation with respect to, the performance of any

obligation of landlord under any Lease, and Borrower shall indemnify and hold Lender harmless from and against all claims, liabilities, losses, damages, costs and expenses (including reasonable attorneys' fees) asserted against Lender arising out of any Lease or out of Lender's exercise of its rights under this **Article IV**, except to the extent arising from Lender's gross negligence or willful misconduct. Borrower's obligations under the Leases shall not be deemed to have been assumed by Lender by reason of this assignment.

Section 4.7 Estoppel Certificates; Subordination and Non-Disturbance Agreements

(a) Borrower shall deliver to Lender, within ten (10) Business Days after Lender's written request (and in any event not less frequently than annually), a current rent roll and a certification as to the status of each Lease, and shall use commercially reasonable efforts to cause each Tenant to execute and deliver to Lender a tenant estoppel certificate in form reasonably satisfactory to Lender. Borrower acknowledges that the delivery of estoppel certificates from each of the three (3) Tenants in occupancy as of the Closing Date is a condition precedent to the Initial Advance under **Section 12.1(j)** of the Term Sheet, and that Lender does not intend to waive such condition with respect to the Lowcountry Lease.

(b) Borrower shall use commercially reasonable efforts to cause each Tenant to execute and deliver a subordination, non-disturbance and attornment agreement ("**SNDA**") in form reasonably satisfactory to Lender, it being acknowledged that the delivery of executed SNDAs from each of the three (3) Tenants in occupancy is a condition precedent to the Initial Advance under **Section 12.1(k)** of the Term Sheet. Borrower shall deliver an SNDA from each Tenant which hereafter enters into a Lease concurrently with the execution of such Lease.

(c) Without limiting the foregoing, within ninety (90) days after the Closing Date Borrower shall deliver to Lender a tenant estoppel certificate executed by Lowcountry Provisions Inc. in form reasonably satisfactory to Lender that (i) acknowledges the existence of this Mortgage and the assignment of the Leases and Rents to Lender, (ii) confirms the material terms of the Lowcountry Lease, and (iii) agrees that, upon written notice from Lender following an Event of Default, the Tenant shall pay all Rents directly to Lender. Borrower shall further use commercially reasonable efforts to obtain, at the next renewal, extension or amendment of the Lowcountry Lease (and, if earlier, upon Lender's request following an Event of Default), an amendment to the Lowcountry Lease adding a customary assignment and consent-to-assignment provision, and Borrower shall promptly deliver copies of all correspondence and executed documentation to Lender.

Section 4.8 Leasing Restrictions

Borrower shall not, without Lender's prior written consent (which consent shall not be unreasonably withheld, conditioned or delayed), enter into, amend, renew,

extend, terminate, accept a surrender of, or waive any material right under, any Lease (a) demising more than five thousand (5,000) rentable square feet, or (b) having a term (including renewal options) exceeding five (5) years. Borrower shall not enter into any Lease containing any option to purchase, right of first refusal to purchase, or right of first offer to purchase any interest in the Property, or any provision permitting the Tenant to sublease or assign without Lender's consent. All Leases shall be on commercially reasonable terms consistent with prevailing market terms for comparable mixed-use commercial properties in the Charleston, South Carolina metropolitan area. Borrower shall cause each Lease to provide that it is subordinate to this Mortgage, subject to Lender's delivery of a commercially reasonable SNDA. Borrower shall not lease any portion of the ground floor of Lot 7 (Bay 1) for residential use, or permit any change in the use of Bay 1 that would violate the LUR.

Section 4.9 Right of First Refusal — Bay 2

Borrower shall comply with, and shall not circumvent, the right of first refusal in favor of Harmon & Wren Design Studio LLC with respect to Bay 2 as set forth in the Harmon & Wren Lease. Borrower shall deliver to Lender copies of any bona fide third-party offer for Bay 2 and any ROFR notice delivered or received. Borrower acknowledges that the exercise or waiver of such right of first refusal may extend the lease-up period for Bay 2 and that Lender has taken no position on the enforceability or scope of such right.

ARTICLE V — SECURITY AGREEMENT; UCC MATTERS

Section 5.1 Security Agreement

This Mortgage constitutes a security agreement under the UCC with respect to all personal property, fixtures, accounts, general intangibles, instruments, chattel paper, deposit accounts, letter-of-credit rights, investment property, commercial tort claims and other collateral described in the granting clauses of this Mortgage (collectively, the "**Personal Property Collateral**"). Borrower grants to Lender a first-priority security interest in the Personal Property Collateral, subject only to the Permitted Exceptions, to secure the Obligations.

Section 5.2 Fixture Filing

A portion of the Personal Property Collateral consists of goods that are or are to become fixtures on the Real Property. This Mortgage is intended to be effective as a fixture filing under the UCC and shall be filed of record in the RMC Office. The following information is provided for purposes of such fixture filing: (a) Debtor/Borrower: Palmetto Gateway Partners LLC, a South Carolina limited liability company, 88 Broad Street, Suite 200, Charleston, South Carolina 29401, South Carolina Secretary of State Filing No. 2024-0011287, Federal Employer Identification No. 84-6213750; (b) Secured Party/Lender: Calverley Heritage Bank, a Georgia state-chartered commercial bank, 412 Whitaker Street, Savannah, Georgia 31401, Federal Employer Identification No. 58-2947136; and (c) the Real Property to which the fixtures relate is described on **Exhibit A**.

Section 5.3 Financing Statements; Further Assurances

Borrower authorizes Lender to file, at Borrower's expense, (a) a UCC-1 financing statement naming Borrower as debtor and Lender as secured party with the South Carolina Secretary of State covering the Personal Property Collateral, together with continuation statements and amendments as necessary to maintain perfection throughout the term of the Loan, and (b) this Mortgage as a fixture filing in the RMC Office. Borrower shall execute and deliver such further financing statements, amendments, continuation statements, deposit account control agreements, landlord and mortgagee waivers, and other instruments as Lender may reasonably request to perfect, maintain, preserve or enforce its security interests, and grants Lender a power of attorney, coupled with an interest, to execute and file the same on Borrower's behalf. The collateral description in any UCC-1 financing statement shall be consistent with the collateral description in this Mortgage.

Section 5.4 Permits and Governmental Approvals

Borrower shall obtain and maintain all permits, licenses, entitlements and approvals necessary for the Renovation and the operation of the Property, including building permits, certificates of occupancy, Board of Architectural Review approvals, and any encroachment authorization for the balcony, and shall deliver copies thereof to Lender upon issuance. Borrower shall not surrender, allow to lapse or materially modify any such permit or approval without Lender's prior written consent, except as required by applicable law.

Section 5.5 Permitted Contests

Borrower may, at its sole cost and expense, contest in good faith by appropriate proceedings any tax, assessment, lien, claim or governmental requirement, provided that (a) Borrower first delivers to Lender such security as Lender may reasonably require to protect the Mortgaged Property and Lender's lien, (b) such contest does not, in Lender's reasonable judgment, expose Lender to criminal or civil liability or forfeiture, (c) Borrower diligently prosecutes such contest, and (d) no Event of Default has occurred and is continuing.

ARTICLE VI — REPRESENTATIONS AND WARRANTIES

Section 6.1 Organization and Authority

Borrower represents and warrants to Lender that: (a) Borrower is a limited liability company duly formed, validly existing and in good standing under the laws of the State of South Carolina, with South Carolina Secretary of State Filing No. 2024-0011287, and is duly qualified to transact business in each jurisdiction in which such qualification is required; (b) Borrower has full power and authority to own the Property, to conduct its business as presently conducted and as contemplated by the Loan Documents, to execute, deliver and perform its obligations under the Loan Documents, and to grant the liens and security interests created hereby; (c) the execution, delivery and performance of the Loan Documents have been duly authorized by all necessary limited liability company action, and no further consent of any Member, manager or other Person is required; (d) Graydon Development

Group LLC, as Managing Member of Borrower, is duly authorized under the Operating Agreement to execute and deliver the Loan Documents on behalf of Borrower, and Neil Ashford Graydon is duly authorized to act for and bind Graydon Development Group LLC; and (e) the Loan Documents constitute the legal, valid and binding obligations of Borrower, enforceable against Borrower in accordance with their terms, subject to applicable bankruptcy, insolvency, reorganization and similar laws affecting creditors' rights generally and to general principles of equity.

Section 6.2 No Conflicts; No Litigation

Borrower represents and warrants that: (a) the execution, delivery and performance of the Loan Documents do not and will not conflict with, violate or constitute a default under the Operating Agreement, Borrower's certificate of formation, any other organizational document, any applicable law, or any material agreement, order or judgment binding on Borrower or the Property; (b) there is no action, suit, proceeding, arbitration, investigation or order pending or, to Borrower's knowledge, threatened against Borrower, any Member, Guarantor or the Property that, if adversely determined, would reasonably be expected to have a material adverse effect on Borrower, Guarantor or the Property, or that questions the validity of the Loan Documents; and (c) Borrower is not in default under any indebtedness for borrowed money.

Section 6.3 Financial Information

Borrower represents and warrants that all financial statements, rent rolls, operating statements, budgets and other information furnished to Lender in connection with the Loan (including the rent roll attached as **Exhibit D**) are true, correct and complete in all material respects as of the dates furnished, have been prepared in accordance with GAAP consistently applied (except that interim statements are subject to normal year-end adjustments and lack footnotes), and do not contain any material misstatement of fact or omit any material fact necessary to make the statements therein not misleading. The Renovation Budget attached as **Exhibit C** is a reasonable estimate of the costs of completing the Renovation, and Borrower is not aware of any cost, condition or circumstance that would reasonably be expected to cause the cost of the Renovation to exceed the Renovation Budget by more than five percent (5%).

Section 6.4 Single-Purpose Entity Status; Operating Agreement

Borrower represents and warrants that: (a) Borrower is, and at all times since its formation has been, a Single-Purpose Entity; (b) the Operating Agreement, as amended by the Operating Agreement Amendment, contains the SPE Provisions, the Independent Manager requirement, the separateness covenants and the unanimity requirement for bankruptcy filings, dissolution, merger and consolidation required by **Article VIII**; (c) the Operating Agreement Amendment has been duly executed and delivered by each Member and by Tidewater GP Holdings LLC, as general partner of Tidewater Opportunity Fund II LP; (d) Borrower has delivered to Lender a true, correct and complete copy of the

Operating Agreement and all amendments thereto, including all schedules and exhibits; and (e) the redacted summary of the Operating Agreement furnished to Lender by Borrower's counsel prior to closing omitted no provision that is inconsistent with the representations set forth in this Section.

Section 6.5 Membership Interests

Borrower represents and warrants that the membership interests in Borrower are held as follows, and that no other Person holds any direct or indirect equity interest in Borrower: Graydon Development Group LLC — 72%; Tidewater Opportunity Fund II LP — 18%; Harborline Capital Advisors LLC — 10%. Guarantor is the sole member and sole manager of Graydon Development Group LLC. Borrower further represents that no Member is subject to any pledge, hypothecation, charging order, option or agreement to transfer its membership interest, other than as disclosed in writing to Lender prior to the Closing Date.

Section 6.6 Compliance with Laws; Zoning

Borrower represents and warrants that the Property and the use and occupancy thereof comply in all material respects with all applicable zoning, building, fire, health, safety, accessibility, historic-preservation and Environmental Laws, including the LUR and all conditions of the SCDHEC No Further Action determination dated August 12, 2021 for Site ID No. SC-29403-0772. The Property is located in the GB (General Business) zoning district of the City of Charleston, and the current mixed-use retail and office use is a permitted use in such district.

Section 6.7 Insurance

Borrower represents and warrants that the Property is insured in accordance with **Article X** as of the Closing Date, and that no insurer has cancelled, declined, refused to renew or given notice of intention to cancel or not renew any policy covering the Property within the preceding three (3) years.

Section 6.8 Anti-Terrorism and OFAC

Borrower represents and warrants that neither Borrower, nor any Member, nor any Guarantor, nor any Person owning a direct or indirect interest in Borrower, is (a) a Person named on the Specially Designated Nationals and Blocked Persons List maintained by the U.S. Department of the Treasury's Office of Foreign Assets Control, or on any other similar list maintained by any U.S. governmental authority, or (b) organized, resident or located in a country subject to comprehensive U.S. sanctions. Borrower shall comply with all applicable anti-money-laundering and sanctions laws.

Section 6.9 Survival

The representations and warranties in this **Article VI** shall survive the closing of the Loan and the recording of this Mortgage and shall remain in effect until the Obligations have been indefeasibly paid and performed in full. Borrower shall promptly notify Lender in writing if any representation or warranty ceases to be true and correct in any material respect.

ARTICLE VII — AFFIRMATIVE COVENANTS

Section 7.1 Compliance with Laws and the LUR

Borrower shall comply, and shall cause the Property and all Tenants to comply, in all material respects with all applicable federal, state and local laws, ordinances, rules, regulations, orders, permits and governmental requirements, including all zoning, building, fire, health, safety, accessibility, historic-preservation and Environmental Laws, and the LUR. Without limiting the foregoing, Borrower shall:

(a) maintain, preserve and protect the Vapor Barrier in good condition and working order and, not less frequently than annually (and within thirty (30) days after Lender's written request), cause a qualified environmental professional reasonably acceptable to Lender to inspect the Vapor Barrier and deliver a written report to Lender confirming its integrity, at Borrower's sole expense;

(b) not penetrate, remove, breach, compromise or otherwise disturb the Vapor Barrier, or perform any excavation, slab work, demolition, renovation or alteration affecting the floor slab of Bay 1, without (i) prior written approval from SCDHEC to the extent required by the LUR, (ii) prior written notice to Lender, and (iii) a plan reasonably satisfactory to Lender for the inspection, repair and restoration of the Vapor Barrier;

(c) not use, or permit the use of, the ground floor of Lot 7 (Bay 1) for any residential purpose, and not consent to any change in the use or occupancy of Bay 1 that is inconsistent with the LUR;

(d) notify SCDHEC in writing in advance of any Renovation work affecting the Bay 1 floor slab, and deliver copies of all such notices and all responses thereto to Lender;

(e) notify Lender within five (5) Business Days after Borrower's receipt of any notice, order, claim, information request or correspondence from SCDHEC or any other governmental authority relating to the CREC, the LUR, the Vapor Barrier or Site ID No. SC-29403-0772, and deliver copies thereof to Lender;

(f) deliver to Lender, within thirty (30) days after Lender's written request, evidence reasonably satisfactory to Lender of compliance with the LUR; and

(g) not modify, terminate, release, amend, waive or seek the modification, termination, release or amendment of the LUR, or take or omit to take any action that would reasonably be expected to cause SCDHEC to reopen Site ID No. SC-29403-0772, without Lender's prior written consent in each instance.

Borrower acknowledges that Lender has waived the requirement for a Phase II Environmental Site Assessment solely on the basis of the CREC status, the SCDHEC No Further Action determination, and the existence of the recorded LUR,

and that any failure to comply with this Section may constitute an immediate and material impairment of Lender’s security.

Section 7.2 Maintenance and Repair; Waste

Borrower shall maintain the Property, including all Improvements, fixtures, building systems, common areas, parking areas and landscaping, in good order, condition and repair, consistent with the standards of comparable mixed-use commercial properties in the Charleston, South Carolina metropolitan area, and shall promptly make all necessary repairs and replacements, structural and nonstructural, ordinary and extraordinary. Borrower shall not commit or permit any waste of the Property. Borrower shall promptly complete any work required by any governmental authority, and shall promptly repair or restore any damage to the Property not constituting a casualty.

Section 7.3 Tenant Cooperation; Estoppels

Borrower shall use commercially reasonable efforts to cause each Tenant to comply with the terms of its Lease, and shall enforce the material obligations of each Tenant under its Lease in the ordinary course. Borrower shall not waive any material obligation of any Tenant, or consent to any assignment or subletting by any Tenant, without Lender’s prior written consent (which shall not be unreasonably withheld, conditioned or delayed), except as permitted by **Section 4.8**.

Section 7.4 Further Assurances

Borrower shall execute, acknowledge and deliver such further instruments, and take such further actions, as Lender may reasonably request to carry out the purposes of the Loan Documents, to perfect or maintain the liens and security interests granted hereby, to correct any defect in the execution or recording hereof, or to confirm any matter relating to the Property or the Leases.

Section 7.5 Lender’s Access and Inspection

Borrower shall permit Lender and its agents, representatives, appraisers, engineers, inspectors and consultants to enter upon and inspect the Property at reasonable times and upon reasonable prior notice (and without notice upon the occurrence and during the continuance of an Event of Default), and shall cooperate in any such inspection and furnish such information as Lender may reasonably request. Lender shall use commercially reasonable efforts to minimize interference with Tenants. During the Renovation, Lender’s third-party inspector may conduct inspections not less frequently than monthly, at Borrower’s expense in accordance with **Section 13.2(h)** of the Term Sheet.

Section 7.6 Taxes, Liens and Charges

Borrower shall pay and discharge, before the same become delinquent, all taxes, assessments, water and sewer charges, and other governmental charges levied against the Property or the Rents, and all lawful claims that, if unpaid, might become a lien on the Property, except to the extent contested in accordance with

Section 5.5. Borrower shall cause all mechanic's, materialman's and construction liens arising in connection with the Renovation to be discharged of record, bonded over or otherwise removed within thirty (30) days after Borrower receives notice thereof (or such shorter period as may be required to prevent the foreclosure of such lien or the assertion of a claim against Lender's title insurance), and shall deliver to Lender evidence thereof.

Section 7.7 Notice of Default and Other Events

Borrower shall notify Lender in writing promptly, and in any event within five (5) Business Days, after Borrower obtains knowledge of (a) any Event of Default or any event that, with notice or lapse of time or both, would constitute an Event of Default; (b) any default by Borrower or any other Person under any Lease, any material contract relating to the Property, or any other indebtedness; (c) any litigation, arbitration, governmental investigation or administrative proceeding affecting Borrower, Guarantor or the Property in which the amount in controversy exceeds $100,000; (d) any casualty, condemnation or material damage to the Property; (e) any actual or threatened release of Hazardous Materials at, on, under or migrating from the Property; and (f) any change in the identity of the Members or in the Control of Borrower or of any Member.

Section 7.8 Books and Records; Financial Reporting

Borrower shall maintain complete and accurate books and records in accordance with GAAP and shall deliver to Lender the reporting items required by **Article XI**.

Section 7.9 Existence; Good Standing

Borrower shall maintain its existence in good standing under the laws of the State of South Carolina, shall remain qualified to do business in each jurisdiction in which such qualification is required, and shall maintain its registered agent as identified in the Operating Agreement (and promptly notify Lender of any change thereof).

Section 7.10 Guarantor Covenants

Borrower shall cause Guarantor to deliver the annual personal financial statement required by **Section 11.3(b)**, to maintain the insurance required by the Guaranty (if any), and to comply with the terms of the Guaranty and the Environmental Indemnity. Borrower shall promptly notify Lender of any material adverse change in the financial condition of Guarantor.

Section 7.11 Operating Agreement Amendment; Organizational Documents

Borrower shall deliver to Lender, as a condition precedent to the Initial Advance (unless otherwise agreed in writing by Lender), (a) the Operating Agreement Amendment executed by all Members and by Tidewater GP Holdings LLC, as general partner of Tidewater Opportunity Fund II LP, and (b) evidence reasonably satisfactory to Lender of the authority of Tidewater GP Holdings LLC to bind Tidewater Opportunity Fund II LP to the Operating Agreement Amendment (whether pursuant to the limited partnership agreement, a general partner

authorization certificate or a resolution). Borrower shall cause the certificate of formation of Borrower to be amended, to the extent necessary, to include the single-purpose and bankruptcy-remoteness provisions required by **Article VIII**.

ARTICLE VIII — SINGLE-PURPOSE ENTITY; SEPARATENESS; BANKRUPTCY REMOTENESS

Section 8.1 Single-Purpose Status

Borrower shall at all times maintain its status as a Single-Purpose Entity. Borrower's sole purpose shall be to acquire, own, hold, manage, lease, renovate, improve, operate, finance, refinance and ultimately dispose of the Property, and to engage in activities incidental thereto, and Borrower shall not engage in any other business or activity.

Section 8.2 Separateness Covenants

Borrower shall at all times: (a) maintain its own separate books of account, financial records, bank accounts, stationery, invoices, checks and payroll systems, separate and apart from those of any other Person; (b) not commingle its funds or assets with those of any Affiliate, Member, manager or other Person; (c) hold itself out to the public as, and conduct its business under its own name as, a legal entity separate and distinct from any other Person, including its Members and Affiliates; (d) observe all limited liability company formalities, including maintaining minutes and consents and holding member and manager meetings or obtaining written consents as required by the Operating Agreement; (e) pay its own liabilities and indebtedness from its own assets and funds, and not pay the liabilities of any Affiliate; (f) not guarantee or become obligated for the debts or obligations of any Affiliate, Member, manager or Guarantor, except as contemplated by the Loan Documents; (g) maintain adequate capitalization in light of its contemplated business operations, transactions and liabilities; (h) maintain arm's-length relationships with all Affiliates, Members and Guarantor, and any transaction with an Affiliate shall be on commercially reasonable terms and, where required by the Operating Agreement, approved as a Major Decision; (i) not acquire obligations or securities of its Members, managers or Affiliates; (j) allocate fairly and reasonably any shared expenses (including shared office space, equipment and services) with any Affiliate, and pay its own share thereof; (k) file its own tax returns and not file a consolidated return with any Affiliate (other than as required by applicable law); and (l) not hold itself out as being liable for the debts of any other Person.

Section 8.3 Independent Manager

Borrower shall cause the Operating Agreement to provide, at all times until the Obligations have been paid and performed in full, that: (a) Borrower shall at all times have at least one (1) Independent Manager; (b) the affirmative vote, consent or approval of the Independent Manager shall be required for Borrower to (i) file a voluntary petition under the United States Bankruptcy Code or any state insolvency, receivership or similar law, (ii) consent to the appointment of a receiver, trustee, custodian or liquidator, (iii) make a general assignment for the benefit of creditors, (iv) admit in writing Borrower's inability to pay its debts

generally as they become due, or (v) dissolve, liquidate, wind up, merge or consolidate with any other Person; (c) upon the resignation, removal, death or incapacity of any Independent Manager, Borrower shall appoint a successor Independent Manager approved by Lender within ten (10) Business Days, and in the interim the entity designated as a "springing member" in the Operating Agreement shall automatically become the sole member of Borrower for the limited purpose of appointing a successor Independent Manager and shall thereafter immediately resign; (d) the Independent Manager shall not be removed or replaced without Lender's prior written consent; (e) the Operating Agreement shall not be amended to eliminate or impair the rights of the Independent Manager without Lender's prior written consent; and (f) the Independent Manager shall have no economic interest in Borrower and shall have no liability for Borrower's obligations.

Section 8.4 Bankruptcy Remoteness

Borrower shall not, without the prior written consent of Lender and the affirmative vote, consent or approval of the Independent Manager, (a) commence any voluntary case or proceeding under the United States Bankruptcy Code or any similar state or federal law, (b) consent to the entry of an order for relief in any involuntary case, (c) consent to the appointment of or taking possession by a trustee, receiver, custodian, assignee, liquidator, examiner or similar official, or (d) make a general assignment for the benefit of creditors.

Section 8.5 Member Consent to SPE Provisions

Borrower represents and warrants that each Member has (a) reviewed the SPE Provisions, the Independent Manager requirement and the separateness covenants, (b) consented in writing to be bound thereby, and (c) acknowledged that such provisions are enforceable against Borrower and, where applicable, against the Members, including the requirement that any amendment, waiver or modification of the SPE Provisions, or any of the actions described in **Section 8.4**, requires the consent of Lender and the Independent Manager. Borrower shall deliver evidence of such consent, executed by each of Graydon Development Group LLC, Tidewater Opportunity Fund II LP (acting through Tidewater GP Holdings LLC) and Harborline Capital Advisors LLC, as a condition precedent to the Initial Advance.

Section 8.6 No Amendment to SPE Provisions

Borrower shall not amend, modify, waive or repeal any SPE Provision, the Independent Manager requirement, any separateness covenant or any bankruptcy-remoteness provision in the Operating Agreement or the certificate of formation without Lender's prior written consent in each instance. Borrower shall promptly deliver to Lender copies of all amendments to its organizational documents.

ARTICLE IX — NEGATIVE COVENANTS

Section 9.1 No Subordinate Financing

Borrower shall not incur, create, assume, guarantee, permit to exist or suffer any lien, mortgage, deed of trust, security interest, pledge, hypothecation, encumbrance or other charge upon the Property or any portion thereof or any interest therein, or any indebtedness secured thereby, or any mezzanine loan, preferred equity interest, participating interest or other financing arrangement that may affect Lender's collateral position, without Lender's prior written consent in each instance. Borrower shall not permit any financing statement naming Borrower as debtor to be on file in any filing office covering any portion of the Mortgaged Property, other than those filed by or for the benefit of Lender.

Section 9.2 Transfer Restrictions

(a) **Property Transfers.** Borrower shall not sell, convey, transfer, assign, exchange, lease (other than Leases permitted under **Section 4.8**), option, pledge, encumber, partition or otherwise dispose of the Property or any portion thereof or any interest therein, whether voluntarily, involuntarily or by operation of law, without Lender's prior written consent.

(b) **Direct Transfers of Membership Interests.** Borrower shall not permit any Transfer of any direct membership interest in Borrower, and no Member shall Transfer any membership interest in Borrower, if such Transfer, individually or together with all other Transfers occurring during the term of the Loan, would result in (i) any Person or group of Persons acquiring more than ten percent (10%) of the membership interests in Borrower in any single transaction or series of related transactions, or (ii) Transfers aggregating more than twenty-five percent (25%) of the membership interests in Borrower, in each case without Lender's prior written consent. Notwithstanding the foregoing, Transfers among the existing Members (that is, among Graydon Development Group LLC, Tidewater Opportunity Fund II LP and Harborline Capital Advisors LLC) shall not require Lender's consent, provided that (A) no such Transfer results in a change in Control of Borrower, (B) the transferee is an existing Member, (C) Borrower gives Lender at least ten (10) Business Days' prior written notice, and (D) Graydon Development Group LLC continues to hold not less than fifty-one percent (51%) of the membership interests in Borrower and to serve as Managing Member.

(c) **Indirect Transfers and Change of Control.** Borrower acknowledges that the restrictions in this Section are intended to prevent any change in the identity or Control of the Persons who ultimately own and control Borrower, and not merely changes in the record ownership of membership interests. Accordingly, and without limiting clauses (a) and (b), the following shall each constitute a Transfer requiring Lender's prior written consent: (i) any Transfer of any direct or indirect ownership interest in any Member, or in any Person that directly or indirectly Controls any Member, including any

transfer of the membership interest in Graydon Development Group LLC held by Guarantor; (ii) any merger, consolidation, conversion, division, reorganization or dissolution of any Member; (iii) any change in the general partner of Tidewater Opportunity Fund II LP, or any transfer by Tidewater Opportunity Fund II LP of its membership interest in Borrower to any "successor fund" or other Person pursuant to Section 4.2(c) of the Operating Agreement; (iv) any change in the manager, managing member or Control of Harborline Capital Advisors LLC; and (v) the admission of any new Member. Notwithstanding any provision of the Operating Agreement (including any provision designating a transfer as a "Permitted Transfer"), no Transfer of a membership interest in Borrower shall be effective for purposes of the Loan Documents unless made in compliance with this Section.

(d) **Permitted Estate Planning Transfers.** Notwithstanding clauses (b) and (c), Guarantor may transfer his membership interest in Graydon Development Group LLC to a revocable trust established by Guarantor for estate planning purposes, and may transfer such interest upon his death to his estate or heirs, provided that (i) Guarantor (or his estate or heirs) retains voting and management control of Graydon Development Group LLC or its successor, (ii) Graydon Development Group LLC continues to hold 72% of the membership interests in Borrower and to serve as Managing Member, (iii) Borrower gives Lender at least thirty (30) days' prior written notice (or, in the case of a transfer upon death, notice within thirty (30) days thereafter), and (iv) no Event of Default has occurred and is continuing.

(e) **Consequences.** Any Transfer in violation of this Section shall be void ab initio, shall constitute an immediate Event of Default without notice or opportunity to cure in accordance with **Section 14.3(c)**, and shall entitle Lender to exercise all remedies available under **Article XV** and applicable law, including acceleration, imposition of the Default Rate and foreclosure.

Section 9.3 Restrictions on Organizational Documents and SPE Provisions

Borrower shall not amend, restate, modify, waive, repeal or terminate any provision of its Operating Agreement or certificate of formation relating to its single-purpose status, the Independent Manager, the separateness covenants, the restriction on bankruptcy filings, dissolution, merger or consolidation, the admission of Members, or the management of Borrower, without Lender's prior written consent in each instance. Borrower shall deliver to Lender a copy of any permitted amendment within five (5) Business Days after its execution.

Section 9.4 Change of Use; Alterations; Demolition

Borrower shall not (a) change the use of the Property from mixed-use retail and office use, (b) use or permit the use of the ground floor of Lot 7 (Bay 1) for residential purposes or for any use prohibited by the LUR, (c) demolish, raze, structurally alter or materially modify the Improvements other than in connection with the Renovation in accordance with the approved plans and **Article XII**, or (d)

permit any use of the Property that is not in compliance with applicable zoning, the LUR, or any recorded covenant, condition or restriction affecting the Property.

Section 9.5 No Additional Indebtedness

Borrower shall not incur, assume, guarantee or permit to exist any indebtedness for borrowed money, or any capitalized lease obligation, other than (a) the Obligations, (b) trade payables and equipment leases incurred in the ordinary course of business and not exceeding $100,000 in the aggregate outstanding at any time, and (c) as otherwise approved in writing by Lender.

Section 9.6 No Distributions in Default

Borrower shall not make any distribution, dividend, return of capital or other payment to any Member if an Event of Default has occurred and is continuing, or if such distribution would cause Borrower to fail to satisfy the net worth or liquidity covenants set forth in **Section 11.2**.

Section 9.7 No Merger, Dissolution or Change of Business Structure

Borrower shall not merge or consolidate with, or acquire all or substantially all of the assets or equity of, any other Person; shall not divide or convert into another form of entity; and shall not dissolve, liquidate or wind up its affairs, in each case without Lender’s prior written consent and, where applicable, the consent of the Independent Manager and the unanimous consent of the Members.

Section 9.8 No Consent to Liens on Leases or Rents

Borrower shall not further assign, pledge or encumber the Leases or the Rents, or grant any Person other than Lender any interest therein, or direct or permit any Tenant to pay Rents to any Person other than Borrower (prior to an Event of Default) or Lender (after an Event of Default).

ARTICLE X — INSURANCE

Section 10.1 Property Insurance

Borrower shall maintain at all times during the term of the Loan comprehensive all-risk (special form) property insurance covering the Property and all Improvements, on a replacement cost basis, with an agreed amount endorsement (waiver of coinsurance), without deduction for depreciation, and with ordinance or law coverage (including coverage for increased cost of construction and demolition), covering fire, windstorm, hail, explosion, riot, civil commotion, vandalism, malicious mischief, sprinkler leakage, water damage, and such other perils as Lender may reasonably require. The policy shall name Lender as mortgagee and loss payee pursuant to a standard mortgagee clause in form satisfactory to Lender, shall provide that Lender’s interest is not impaired by any act or neglect of Borrower, and shall contain a deductible not exceeding $50,000 without Lender’s prior written consent.

Section 10.2 Commercial General Liability

Borrower shall maintain commercial general liability insurance on an occurrence basis, with limits of not less than Two Million Dollars ($2,000,000) per occurrence and Five Million Dollars ($5,000,000) in the aggregate, covering premises liability, operations liability, products and completed operations, personal and advertising injury, and contractual liability (including the indemnities in the Loan Documents). Lender shall be named as an additional insured, and the policy shall be primary and non-contributory with any insurance maintained by Lender.

Section 10.3 Flood Insurance

Borrower shall maintain flood insurance covering the Property in an amount not less than Five Million Dollars ($5,000,000), naming Lender as mortgagee and loss payee. Borrower acknowledges that the Property is located in FEMA Flood Zone X (area of minimal flood hazard) and that federal law does not require flood insurance for property in Zone X, and that the flood insurance required by this Section is a contractual requirement of Lender and not a federally mandated requirement. To the extent the coverage required by this Section exceeds the maximum limit of coverage available for commercial property under the National Flood Insurance Program (currently $500,000 per building), Borrower shall obtain the excess coverage from a private flood insurer acceptable to Lender, and shall maintain the maximum available NFIP coverage (or such lesser amount as Lender may approve) together with such excess coverage. Borrower shall deliver to Lender evidence of the FEMA flood zone determination and any letter of map amendment upon request.

Section 10.4 Builder’s Risk Insurance

From the Closing Date through Substantial Completion of the Renovation, Borrower shall maintain builder’s risk insurance on a completed-value, all-risk (special form) basis in an amount not less than the full Renovation Budget of Three Million One Hundred Fifty Thousand Dollars ($3,150,000.00), covering the Improvements and the Renovation against all risks of physical loss or damage during the course of construction, including coverage for materials stored at the site and in transit, scaffolding (including the façade scaffolding), and soft costs and delayed-completion coverage reasonably acceptable to Lender. Lender shall be named as mortgagee and loss payee on such policy, and such coverage shall include the interest of the General Contractor and all subcontractors as their interests may appear.

Section 10.5 Other Insurance

Borrower shall maintain: (a) workers’ compensation insurance in the amounts required by the laws of the State of South Carolina, covering all employees of Borrower and, to the extent not covered under the General Contractor’s policies, all Persons engaged in the Renovation; (b) employer’s liability insurance with limits of not less than $1,000,000 per accident; (c) umbrella or excess liability insurance with limits of not less than Five Million Dollars ($5,000,000), providing excess coverage over the commercial general liability, automobile liability and

employer’s liability policies; (d) automobile liability insurance covering all owned, hired and non-owned vehicles used in connection with the Property or the Renovation, with limits of not less than $1,000,000 per accident; and (e) such other insurance coverages, in such amounts and with such carriers, as Lender may reasonably require from time to time, including, if Lender reasonably determines that the Property is located in or adjacent to a special flood hazard area after any map revision, such additional flood coverage as Lender may require.

Section 10.6 Carrier Ratings; Policy Requirements

All insurance policies required under this **Article X** shall be issued by insurers licensed or authorized to do business in the State of South Carolina and having an A.M. Best rating of not less than “A-:VII,” and shall be in form and substance reasonably acceptable to Lender. Each policy shall contain a provision requiring not less than thirty (30) days’ prior written notice to Lender of cancellation, non-renewal, material modification or reduction in coverage (and not less than ten (10) days’ prior written notice of cancellation for nonpayment of premium), shall not be cancellable without such notice, and, in the case of property insurance, shall contain a standard mortgagee clause. Borrower shall deliver to Lender certificates of insurance and, upon request, certified copies of the policies, prior to the Closing Date and thereafter not less than fifteen (15) days prior to each expiration, together with evidence of payment of premiums. Borrower shall not permit any policy to be cancelled, reduced or allowed to lapse.

Section 10.7 Application of Insurance Proceeds

Lender shall have the right, at its election, to apply any insurance proceeds received by Lender to the restoration of the Improvements or to the payment of the Obligations (in such order of application as Lender may determine), provided that Lender shall make proceeds available to Borrower for the restoration of the Improvements if (a) no Event of Default has occurred and is continuing, (b) the loss is fully covered by insurance (other than the deductible), (c) Lender reasonably determines that the Improvements can be restored to their pre-casualty condition, utility and value within the earlier of twelve (12) months after the casualty or the Substantial Completion Deadline, and (d) Borrower demonstrates to Lender’s reasonable satisfaction that sufficient funds (including insurance proceeds, the remaining Renovation Holdback and Borrower’s own funds) are available to complete the restoration. Any proceeds made available for restoration shall be disbursed in accordance with the draw procedures of **Section 12.4**, applied mutatis mutandis. Any proceeds not made available for restoration shall be applied to the Obligations in accordance with **Section 13.4** and without payment of any Prepayment Premium. Borrower irrevocably appoints Lender as its attorney-in-fact to endorse and collect any insurance proceeds payable in respect of the Property.

Section 10.8 Condemnation

Borrower shall promptly deliver to Lender a copy of any notice of condemnation, eminent domain, taking or threatened taking affecting the Property. All condemnation awards and other compensation for any taking, whether permanent

or temporary, are hereby assigned to Lender and shall be paid to Lender, and Borrower irrevocably appoints Lender as its attorney-in-fact to collect the same. Lender shall have the right, at its election, to apply any such award or compensation to the restoration of the Property (on the conditions set forth in **Section 10.7**, applied mutatis mutandis) or to the payment of the Obligations, in each case without payment of any Prepayment Premium. If the entire Property is taken, or if the taking would, in Lender's reasonable judgment, render the Property unsuitable for its current use, Lender may declare the Obligations immediately due and payable.

Section 10.9 Failure to Maintain Insurance

If Borrower fails to maintain any insurance required by this **Article X**, Lender may, at its election, obtain such insurance at Borrower's expense (which amount shall be a Protective Advance), and Borrower shall reimburse Lender upon demand. Any such failure shall constitute an Event of Default in accordance with **Section 14.1(g)**.

ARTICLE XI — FINANCIAL COVENANTS AND REPORTING

Section 11.1 Debt Service Coverage Ratio

(a) Borrower shall maintain, as of the last day of each Test Period, a DSCR of not less than the DSCR Covenant Level.

(b) DSCR testing shall commence with the Test Period ending June 30, 2027, being the first full fiscal quarter ending after the twenty-fourth (24th) month following the Closing Date, and shall continue on a quarterly basis thereafter for each Test Period. Borrower shall deliver to Lender, within forty-five (45) days after the last day of each Test Period, a compliance certificate certified by Borrower and, if requested by Lender, verified by an independent certified public accountant acceptable to Lender, setting forth in reasonable detail Lender's and Borrower's calculation of Net Operating Income, Debt Service and DSCR for such Test Period.

(c) If the DSCR is less than the DSCR Covenant Level for any two (2) consecutive Test Periods, and such failure is not cured in accordance with **Section 14.3(d)**, an Event of Default shall exist in accordance with **Section 14.1(i)**.

(d) Borrower shall not, during any period in which the DSCR is less than 1.10x, make any distribution to any Member other than tax distributions required by the Operating Agreement and permitted by **Section 9.6**.

Section 11.2 Net Worth and Liquidity

Borrower shall maintain at all times during the term of the Loan: (a) a net worth of not less than One Million Dollars ($1,000,000.00); and (b) liquid assets (defined as cash, cash equivalents, marketable securities and unencumbered deposits held at federally insured depository institutions) of not less than Five Hundred Thousand Dollars ($500,000.00). Compliance shall be tested annually, concurrently with the

delivery of the annual financial statements and the annual compliance certificate required by **Section 11.3**, and shall be evidenced by such certificate. For purposes of this Section, net worth shall be determined in accordance with GAAP, excluding from assets any value attributable to the Property in excess of its then-outstanding appraised value and excluding any asset that is not readily marketable or that is pledged to any other Person.

Section 11.3 Financial Reporting

Borrower shall deliver, or cause to be delivered, to Lender:

(a) **Annual Financial Statements.** Within one hundred twenty (120) days after the end of each fiscal year of Borrower, audited financial statements of Borrower prepared in accordance with GAAP by an independent certified public accounting firm acceptable to Lender, together with an unqualified opinion and all notes and supporting schedules;

(b) **Guarantor Financial Information.** Within one hundred twenty (120) days after the end of each calendar year, the annual personal financial statement of Guarantor, in form and detail satisfactory to Lender, certified as true and correct by Guarantor, together with such supporting tax returns and verification as Lender may reasonably request;

(c) **Quarterly Rent Rolls.** Within thirty (30) days after the end of each calendar quarter, a rent roll for the Property, certified by Borrower as true, correct and complete, in the form of **Exhibit D** with such additional information as Lender may reasonably request (including lease expirations, security deposits and delinquencies);

(d) **Annual Property Operating Statements.** Within one hundred twenty (120) days after the end of each fiscal year of Borrower, annual operating statements for the Property, including a detailed income and expense report and a comparison of actual results to the approved annual budget, certified by Borrower;

(e) **Quarterly Operating Statements.** Within forty-five (45) days after the end of each calendar quarter, unaudited quarterly operating statements for the Property;

(f) **Leases.** Copies of all Leases, lease amendments, guaranties, side letters, termination agreements and estoppel certificates executed by Borrower with respect to the Property, within ten (10) Business Days after execution;

(g) **Compliance Certificate.** Concurrently with the delivery of the items described in clauses (a) and (c), a certificate of a manager of Borrower certifying compliance with **Sections 11.1** and **11.2** and stating whether any Event of Default or event that, with notice or lapse of time or both, would constitute an Event of Default has occurred;

(h) **Budgets.** Within thirty (30) days prior to the beginning of each fiscal year, the proposed annual operating budget for the Property for such fiscal year, and within thirty (30) days after Lender's request, any revised budget; and

(i) **Other Information.** Promptly upon Lender's request, such other financial and operating information regarding Borrower, Guarantor and the Property as Lender may reasonably require.

Section 11.4 Accounting Standards; Audit Rights

All financial statements delivered under this **Article XI** shall be prepared in accordance with GAAP consistently applied, applied on a basis consistent with prior periods, except that interim statements may be subject to normal year-end adjustments and may lack footnotes. Lender and its representatives shall have the right, upon reasonable prior notice and at Borrower's expense not more than once per fiscal year (and at any time after an Event of Default), to audit and verify the books and records of Borrower relating to the Property and to discuss the affairs of Borrower with its officers, managers and accountants.

Section 11.5 Failure to Deliver Reports

If Borrower fails to deliver any item required under this **Article XI** within the applicable period, Lender may deliver written notice thereof, and if such failure continues for ten (10) Business Days after such notice (or, in the case of audited financial statements, thirty (30) days after such notice), such failure shall constitute an Event of Default in accordance with **Section 14.1(b)**.

Section 11.6 Lease-Up Reporting

During any period in which the Property is not at least ninety percent (90%) occupied, Borrower shall deliver to Lender, concurrently with each quarterly rent roll, a written leasing status report describing marketing efforts, prospective tenants, executed letters of intent, and the status of the right of first refusal with respect to Bay 2 held by Harmon & Wren Design Studio LLC.

ARTICLE XII — ESCROWS, RESERVES AND RENOVATION DISBURSEMENTS

Section 12.1 Tax and Insurance Escrow

(a) Borrower shall make monthly deposits with Lender, on each Payment Date, in an amount equal to one-twelfth (1/12) of the estimated annual real property taxes and casualty and liability insurance premiums for the Property, covering all three (3) tax parcels (Charleston County Tax Map Nos. 460-12-04-007, 460-12-04-008 and 460-12-04-009), plus one-twelfth (1/12) of any special assessments. Such deposits shall be held by Lender in escrow in an account designated as the "**Tax and Insurance Escrow Account**" and applied by Lender toward the payment of real property taxes and insurance premiums as they become due and payable.

(b) Lender shall have the right to adjust the monthly escrow amount periodically (and not less frequently than annually) based upon actual or anticipated tax assessments and insurance premiums, and Borrower shall pay any resulting deficiency within thirty (30) days after Lender's written demand.

(c) Upon an Event of Default, Lender may apply any sums in the Tax and Insurance Escrow Account to the Obligations in such order as Lender may determine.

Section 12.2 Capital Replacement Reserve

(a) Borrower shall make monthly deposits with Lender, on each Payment Date, in the amount of Six Hundred Forty-Five and 83/100 Dollars ($645.83) into an account designated as the "**Capital Replacement Reserve Account**," calculated as $0.25 per square foot per year multiplied by 31,000 square feet of gross building area ($7,750.00 per year), divided by twelve (12) months.

(b) Funds in the Capital Replacement Reserve Account shall be disbursed to Borrower upon Lender's approval of qualifying capital expenditures (being non-recurring replacements and capital repairs of the Improvements, including building systems, roof, parking areas and structural components, but excluding tenant improvements and leasing commissions), subject to Lender's reasonable review and approval procedures and the delivery of such invoices, lien waivers and other documentation as Lender may reasonably require. Lender may require that any disbursement be made on a reimbursable basis.

(c) Lender may, at its election, apply any sums in the Capital Replacement Reserve Account to the Obligations upon an Event of Default or to any repair or replacement of the Property that Lender reasonably determines is necessary to protect its security.

Section 12.3 Tenant Improvement and Leasing Commission Reserve

(a) Borrower shall deposit at closing the sum of One Hundred Fifty Thousand and No/100 Dollars ($150,000.00) into an account designated as the "**Tenant Improvement and Leasing Commission Reserve Account**."

(b) Upon any draw from such account, Borrower shall replenish the account to the full amount of $150,000.00 from Borrower's own funds within thirty (30) days after Lender's written demand.

(c) Disbursements from the account shall be subject to Lender's prior written approval and shall be used exclusively for tenant improvement costs and leasing commissions incurred in connection with the leasing of vacant space at the Property, and shall be supported by such invoices, executed leases, lien waivers and other documentation as Lender may reasonably require.

Section 12.4 Renovation Holdback

(a) **Amount and Purpose.** The Renovation Holdback of Two Million Two Hundred Fifty Thousand and No/100 Dollars ($2,250,000.00) shall be held by Lender and disbursed to Borrower on a draw basis solely for payment of the costs of the Renovation in accordance with the Renovation Budget attached as **Exhibit C**.

(b) **Draw Frequency and Notice.** Draws shall be made no more frequently than once per calendar month. Borrower shall submit each draw request to Lender not less than ten (10) Business Days prior to the requested disbursement date.

(c) **Draw Request Requirements.** Each draw request shall include: (i) an AIA G702/G703 Application and Certificate for Payment, certified by Borrower's architect of record, detailing the work completed, amounts previously paid and the amount currently requested; (ii) conditional lien waivers from the General Contractor and from each subcontractor and supplier performing work or supplying materials in an amount exceeding Twenty-Five Thousand Dollars ($25,000) with respect to the current draw, and unconditional lien waivers from all such Persons with respect to all prior draws; (iii) a title date-down endorsement from the Title Insurer confirming that no intervening mechanic's, materialman's or other liens or encumbrances have been filed against the Property since the date of recording of this Mortgage or the most recent date-down endorsement; (iv) a certification by Borrower's architect that the work for which payment is requested has been completed in accordance with the approved plans and specifications; (v) evidence of Lender's satisfactory inspection of the work in progress, which inspection may be conducted by a third-party inspector retained by Lender at Borrower's expense; and (vi) such other documentation as Lender may reasonably require.

(d) **Retainage.** Lender shall retain ten percent (10%) retainage from each disbursement from the Renovation Holdback until Substantial Completion has been achieved in accordance with **Section 12.7**. Retainage shall be released upon Lender's receipt of (i) satisfactory evidence of Substantial Completion, (ii) final unconditional lien waivers from the General Contractor and all subcontractors and suppliers, (iii) a final title date-down endorsement, and (iv) an as-built survey if required by Lender.

(e) **Conditions to Each Disbursement.** Lender shall have no obligation to disburse any portion of the Renovation Holdback (i) if an Event of Default has occurred and is continuing, (ii) if any condition precedent to the Initial Advance under **Section 12.1** of the Term Sheet has ceased to be satisfied, (iii) if the cost of completing the remaining Renovation exceeds the sum of the undisbursed Renovation Holdback plus Borrower's committed and available equity, (iv) if Borrower has failed to fund its own equity contribution when required, or (v) if the work is not being performed in a

good and workmanlike manner in accordance with the approved plans and specifications and applicable law.

(f) **Borrower's Funding Obligation.** Borrower shall be solely responsible for all Renovation costs in excess of the Renovation Holdback, including without limitation the portion of the GC Contract sum of $2,850,000.00 that exceeds the Renovation Holdback, all soft costs and contingency in excess of the amounts allocated to the Renovation Holdback in **Exhibit C**, and all cost overruns, change orders, design changes and code-compliance costs. Borrower's equity contribution for the Renovation is $900,000.00, as reflected on **Exhibit C**. Lender shall have no obligation to increase the Loan or the Renovation Holdback.

(g) **Change Orders and Budget Revisions.** No change order, amendment or modification to the GC Contract, and no revision to the Renovation Budget, that (i) individually or in the aggregate increases the total cost of the Renovation, (ii) reduces or reallocates any line item of the Renovation Budget by more than ten percent (10%), or (iii) involves any work affecting the floor slab of Bay 1 on Lot 7, shall be effective without Lender's prior written consent, which consent shall not be unreasonably withheld, conditioned or delayed as to change orders that do not increase the total cost of the Renovation and that are funded from the contingency line item. Borrower shall deliver copies of all executed change orders to Lender within five (5) Business Days after execution.

(h) **LUR Compliance During Renovation.** Borrower shall (i) cause the General Contractor and all subcontractors performing work in or near Bay 1 to acknowledge in writing the existence and location of the Vapor Barrier and the requirements of the LUR, (ii) notify SCDHEC in writing in advance of any work affecting the Bay 1 floor slab, and (iii) deliver copies of all such acknowledgments and notices to Lender.

(i) **Application of Retainage and Undisbursed Amounts.** Upon an Event of Default, Lender may retain all undisbursed amounts of the Renovation Holdback and, at its election, apply the same to the completion of the Renovation or to the Obligations. No undisbursed amount shall be deemed earned by Borrower.

Section 12.5 Security Interest in Reserve Accounts

Borrower hereby grants to Lender a first-priority security interest in the Reserve Accounts and all sums on deposit therein, which shall constitute part of the Mortgaged Property. The Reserve Accounts shall not constitute trust funds, and Lender shall not be obligated to pay interest thereon unless required by applicable law, except that Lender may, in its discretion, credit interest at a commercially reasonable rate. Borrower shall not pledge, assign or grant any interest in the Reserve Accounts to any other Person.

Section 12.6 Annual Analysis of Escrows

Lender shall, not less frequently than annually, analyze the Tax and Insurance Escrow Account and shall refund to Borrower any excess balance, or require Borrower to deposit any deficiency, in accordance with Lender's reasonable escrow analysis procedures.

Section 12.7 Substantial Completion

Borrower shall achieve Substantial Completion of the Renovation on or before the Substantial Completion Deadline of June 15, 2026, and shall deliver to Lender (a) a certificate of the architect certifying Substantial Completion, (b) a certificate of occupancy (or equivalent) issued by the City of Charleston, (c) final unconditional lien waivers, (d) a final title date-down endorsement, and (e) evidence that all permits have been closed and that the Renovation has been completed in compliance with the LUR. Borrower's failure to achieve Substantial Completion by the Substantial Completion Deadline (as such deadline may be extended by Lender in writing, in its sole discretion, in accordance with **Section 14.3(e)**) shall constitute an Event of Default in accordance with **Section 14.1(h)**.

ARTICLE XIII — PREPAYMENT

Section 13.1 General; Relationship to the Note

The provisions of this **Article XIII** restate the prepayment terms applicable to the Loan and shall be read together with the prepayment provisions of the Note. Borrower shall not prepay all or any portion of the principal balance of the Loan except as expressly permitted by this **Article XIII**, and no prepayment shall relieve Borrower of any obligation to pay interest, fees, late charges, costs or other amounts then due. "**Prepayment Premium**" means, collectively, the Yield Maintenance Premium and any other premium, penalty or yield maintenance amount payable under this **Article XIII** in connection with any prepayment of the Loan. In the event of any inconsistency between this **Article XIII** and the Note as to the amount or calculation of any Prepayment Premium, the Note shall control.

Section 13.2 Lockout Period

(a) The Loan may not be prepaid, in whole or in part, at any time during the period commencing on the Closing Date and ending on the last day of the twenty-fourth (24th) month following the Closing Date (that is, through April 15, 2027) (the "**Lockout Period**"). During the Lockout Period, no voluntary prepayment of principal shall be permitted, and Borrower shall not be entitled to tender any such prepayment.

(b) Any purported prepayment made during the Lockout Period shall not be accepted by Lender and shall not discharge any Obligation, and any such tender shall constitute an immediate Event of Default. Without limiting the foregoing, and to the extent Lender elects in its sole discretion to accept any amount tendered during the Lockout Period, Borrower shall pay, in addition to all other amounts due, a prepayment premium equal to the Yield Maintenance Premium computed as if the prepayment date were the last

day of the Lockout Period, plus one percent (1.00%) of the principal amount so accepted.

(c) Notwithstanding clause (a), involuntary prepayments resulting from the application of casualty insurance proceeds or condemnation awards in accordance with **Sections 10.7** and **10.8**, and prepayments resulting from Lender's acceleration of the Obligations following an Event of Default, may be applied to the Obligations during the Lockout Period without payment of any Prepayment Premium.

Section 13.3 Yield Maintenance Period

(a) **Permitted Prepayment.** During the period commencing on the day immediately following the last day of the Lockout Period and ending on the last day of the forty-eighth (48th) month following the Closing Date (that is, from April 16, 2027 through April 15, 2029) (the "**Yield Maintenance Period**"), Borrower may prepay the Loan in whole (but not in part) upon (i) not less than thirty (30) days' prior written notice to Lender (which notice shall be irrevocable), and (ii) payment, on the date of prepayment, of the Yield Maintenance Premium, together with all accrued and unpaid interest, all other amounts then due and all costs and expenses (including any breakage, hedging or funding costs) incurred by Lender as a result of such prepayment.

(b) **Yield Maintenance Premium.** The "**Yield Maintenance Premium**" payable in connection with a prepayment during the Yield Maintenance Period shall equal the greater of:

(i) one percent (1.00%) of the outstanding principal balance of the Loan as of the date of prepayment; and

(ii) the present value of the excess, if any, of (A) the aggregate interest that would have accrued on the principal amount being prepaid at the Applicable Rate for the period from the date of prepayment through the last day of the Yield Maintenance Period, assuming that such principal amount remained outstanding through the last day of the Yield Maintenance Period and that interest is payable monthly, over (B) the aggregate interest that would accrue on such principal amount for the same period at a rate per annum equal to the Treasury Rate plus fifty (50) basis points (0.50%), in each case discounted to present value as of the date of prepayment at a discount rate equal to the Treasury Rate, on a monthly basis, using a 30/360 day count convention.

In no event shall the amount determined under clause (ii) above be less than zero. The Yield Maintenance Premium shall be due and payable on the date of prepayment, and shall be in addition to all other amounts due under the Loan Documents. Partial prepayments shall not be permitted during the Yield Maintenance Period.

(c) **Treasury Rate.** "**Treasury Rate**" means the yield to maturity, as of the second (2nd) Business Day preceding the date of prepayment, of the United

States Treasury security reported in Federal Reserve Statistical Release H.15 — Selected Interest Rates (or any successor publication) under the heading "Treasury Constant Maturities" having a maturity date closest to the last day of the Yield Maintenance Period; provided that if no published Treasury Constant Maturity has a maturity date within ninety (90) days of the last day of the Yield Maintenance Period, the Treasury Rate shall be determined by linear interpolation between the yields of the two (2) published Treasury Constant Maturities having maturity dates nearest to (one above and one below) the last day of the Yield Maintenance Period.

(d) **Determination.** Lender shall deliver to Borrower, concurrently with or promptly after any demand for the Yield Maintenance Premium, a statement setting forth Lender's calculation of the Treasury Rate and the Yield Maintenance Premium in reasonable detail. Absent manifest error, Lender's calculation shall be conclusive and binding on Borrower. Borrower's obligation to pay the Yield Maintenance Premium shall not be affected by any change in the Applicable Rate, by any hedging transaction entered into by Lender, or by the source of the funds used to make the prepayment.

(e) **Characterization.** The parties acknowledge that the Yield Maintenance Premium is intended to compensate Lender for the loss of its bargained-for yield upon an early prepayment, is a reasonable estimate of Lender's probable loss, is not a penalty, and is a material inducement to Lender to make the Loan at the rate and on the terms set forth in the Loan Documents.

Section 13.4 Open Prepayment Period

During the period commencing on the day immediately following the last day of the Yield Maintenance Period and ending on the Maturity Date (that is, from April 16, 2029 through April 15, 2030) (the "**Open Prepayment Period**"), Borrower may prepay the Loan in whole or in part, at any time and from time to time, without payment of any prepayment premium, penalty or yield maintenance amount, upon not less than fifteen (15) days' prior written notice to Lender.

Section 13.5 Involuntary Prepayments

Any prepayment resulting from the application of casualty insurance proceeds or condemnation awards in accordance with **Sections 10.7** and **10.8**, and any payment resulting from Lender's acceleration of the Obligations, shall be applied to the Obligations at par without payment of any Prepayment Premium, and no notice period shall apply. Any amounts so applied shall be applied first to costs and expenses, then to accrued and unpaid interest, any late charges and Prepayment Premiums due, and then to principal.

Section 13.6 No Reborrowing; No Defeasance

No amount prepaid or repaid may be reborrowed. Borrower shall not have any right to obtain a release of any portion of the Mortgaged Property from the lien of this Mortgage in exchange for substitute collateral or for the purchase of U.S.

Treasury obligations or other defeasance collateral, and Lender shall have no obligation to accept any such substitution or defeasance.

ARTICLE XIV — EVENTS OF DEFAULT; DEFAULT RATE; LATE CHARGES

Section 14.1 Events of Default

Each of the following shall constitute an "**Event of Default**" under this Mortgage and the other Loan Documents:

(a) **Payment Default.** Failure by Borrower to pay when due any installment of principal, interest, or any other amount payable under the Note or this Mortgage, including any deposit required to be made into any Reserve Account, subject to the cure period set forth in **Section 14.3(a)**;

(b) **Covenant Default.** Failure by Borrower to observe or perform any covenant, agreement, obligation, term or condition contained in this Mortgage or any other Loan Document (other than those specifically addressed in another clause of this Section), continuing beyond the applicable cure period set forth in **Section 14.3(b)**;

(c) **Representation Default.** Any representation or warranty made by Borrower or Guarantor in this Mortgage, in any other Loan Document, or in any certificate, financial statement or report furnished to Lender, proves to have been materially false, misleading or inaccurate in any material respect when made or deemed made;

(d) **Insolvency.** The filing by or against Borrower or Guarantor of a petition in bankruptcy or for reorganization or the appointment of a receiver, trustee or custodian for any substantial part of the property or assets of Borrower or Guarantor, or any assignment for the benefit of creditors, or the commencement of any similar insolvency proceeding, in each case without dismissal within sixty (60) days (and, in the case of a voluntary filing or assignment, without any cure period);

(e) **Cross-Default.** A default by Borrower or Guarantor under any other indebtedness for borrowed money in an amount exceeding Two Hundred Fifty Thousand and No/100 Dollars ($250,000.00), individually or in the aggregate, which default is not cured within any applicable cure or grace period, or the occurrence of any event that permits the acceleration of any such indebtedness;

(f) **Cross-Default under Loan Documents.** A default by Borrower or Guarantor under the Note, the Guaranty, the Environmental Indemnity or any other Loan Document (after giving effect to any applicable notice and cure periods thereunder);

(g) **Insurance.** Failure by Borrower to maintain any insurance required under **Article X** or under any other Loan Document;

(h) **Completion.** Failure by Borrower to achieve Substantial Completion of the Renovation by the Substantial Completion Deadline in accordance with **Section 12.7**;

(i) **DSCR.** The DSCR falling below the DSCR Covenant Level for two (2) consecutive Test Periods following the commencement of DSCR testing in accordance with **Section 11.1**, without cure in accordance with **Section 14.3(d)**;

(j) **SPE Default.** Breach of any covenant set forth in **Article VIII**, or any failure of Borrower to maintain its status as a Single-Purpose Entity, or any amendment to the Operating Agreement or certificate of formation that impairs the SPE Provisions without Lender's consent;

(k) **Transfer Default.** Violation of the transfer restrictions set forth in **Section 9.2**;

(l) **Environmental Default.** Breach of any covenant set forth in **Section 7.1**, or the occurrence of any of the following with respect to the Property: (i) any violation of, or failure to comply with, the LUR; (ii) any penetration, removal, breach, compromise or disturbance of the Vapor Barrier without SCDHEC's prior written approval and Lender's prior written consent; (iii) any modification, termination, release or amendment of the LUR without Lender's prior written consent; (iv) any reopening by SCDHEC of Site ID No. SC-29403-0772 as a result of any act or omission of Borrower, any Tenant, the General Contractor or any of their respective agents or contractors; (v) the presence or release of any Hazardous Materials at, on, under or migrating from the Property in violation of Environmental Laws; or (vi) any failure to deliver the inspection report required by **Section 7.1(a)**;

(m) **Material Adverse Change.** A material adverse change in the financial condition, business, assets or operations of Borrower or Guarantor that, in Lender's reasonable judgment, materially impairs the ability of Borrower to perform its obligations under the Loan Documents or of Guarantor to perform its obligations under the Guaranty;

(n) **Judgments.** Entry of one or more final, non-appealable judgments against Borrower or Guarantor in an aggregate amount exceeding $250,000.00 that remains unsatisfied, unbonded or unstayed for thirty (30) days;

(o) **Loss of Priority.** This Mortgage ceases to constitute a valid first-priority lien on the Mortgaged Property, subject only to the Permitted Exceptions, or the Title Policy is cancelled, terminated or materially modified without Lender's consent;

(p) **Change of Use.** Any use of the Property in violation of **Section 9.4**; and

(q) **Other.** The occurrence of any other event or condition that constitutes an Event of Default as defined in the Note or in any other Loan Document.

Section 14.2 Notice

Lender shall give Borrower written notice of any Event of Default described in **Section 14.1(b)** or **14.1(i)** for which a notice and cure period is provided in **Section 14.3**; provided that no notice shall be required, and no cure period shall apply, with respect to any Event of Default described in **Sections 14.1(a)** (following the expiration of the applicable cure period), **14.1(d)**, **14.1(j)**, **14.1(k)**, **14.1(l)**, or in the case of any Event of Default arising from a voluntary bankruptcy filing, any assignment for the benefit of creditors, or any transfer in violation of **Section 9.2**.

Section 14.3 Cure Periods

The following cure periods shall apply to the Events of Default described in **Section 14.1**:

(a) **Payment Defaults.** Five (5) Business Days after the date on which payment was due.

(b) **Non-Monetary Defaults.** For any Event of Default described in **Section 14.1(b)** (other than SPE defaults, transfer restriction defaults, insurance defaults, environmental defaults and completion defaults, which are addressed in clauses (c), (f) and (g) below), thirty (30) calendar days after written notice from Lender to Borrower of such default; provided, however, that if the default is of a nature that it cannot reasonably be cured within thirty (30) calendar days, and Borrower has commenced and is diligently pursuing the cure thereof, the cure period shall be extended for an additional period not to exceed sixty (60) calendar days (for a total cure period not to exceed ninety (90) calendar days).

(c) **SPE and Transfer Defaults.** No cure period. Any breach of the covenants set forth in **Article VIII** or **Section 9.2** shall constitute an immediate Event of Default without notice or opportunity to cure.

(d) **DSCR Defaults.** No cure period, other than that the DSCR must remain below the DSCR Covenant Level for two (2) consecutive Test Periods before an Event of Default arises, as provided in **Section 11.1(c)**.

(e) **Completion Defaults.** Lender may, in its sole discretion and upon Borrower's written request delivered not less than thirty (30) days prior to the Substantial Completion Deadline, extend the Substantial Completion Deadline by up to ninety (90) days if Lender determines that (i) the delay is attributable solely to force majeure events, (ii) Borrower has funded all Renovation costs required to be funded by Borrower, and (iii) no other Event of Default has occurred and is continuing.

(f) **Insurance Defaults and Environmental Defaults.** No cure period, except that where the failure to maintain insurance results solely from the cancellation or non-renewal of a policy by the insurer, Borrower shall have ten (10) Business Days after written notice from Lender to obtain

replacement coverage (which cure shall not be available more than once during the term of the Loan).

(g) **Other Defaults.** With respect to any Event of Default for which no cure period is expressly provided in this Section, no cure period shall apply.

Section 14.4 Default Rate

Upon the occurrence and during the continuance of an Event of Default, the outstanding principal balance of the Loan shall bear interest at the Default Rate, being the Applicable Rate plus five percent (5.00%) per annum, accruing from the date of the Event of Default until such Event of Default is cured or the Loan is repaid in full, whichever first occurs, in each case as more particularly provided in the Note. Interest at the Default Rate shall be payable on demand and shall be secured by this Mortgage.

Section 14.5 Late Charge

A late charge equal to five percent (5%) of any monthly installment of principal and/or interest shall be assessed on any payment not received by Lender within ten (10) calendar days after the applicable due date. The late charge is intended to compensate Lender for the additional administrative expense of processing late payments, is agreed by the parties to be a reasonable estimate of such expense, and shall not be deemed a penalty. The assessment of a late charge shall not cure any default, shall not preclude the imposition of the Default Rate, and shall not limit any other remedy of Lender.

Section 14.6 Protective Advances

If Borrower fails to perform any covenant or obligation under the Loan Documents, or if Lender reasonably determines that it is necessary to protect the Mortgaged Property or its lien thereon, Lender may (but shall not be obligated to) make any payment, advance or expenditure on Borrower’s behalf, including the payment of taxes, assessments, insurance premiums, liens, repairs, property preservation costs, and legal fees. All Protective Advances shall be secured by this Mortgage, shall bear interest at the Default Rate from the date advanced, and shall be due and payable on demand. Lender shall give Borrower prompt notice of any Protective Advance but shall not be required to obtain Borrower’s consent thereto.

ARTICLE XV — REMEDIES

Section 15.1 Remedies upon Default

Upon the occurrence and during the continuance of an Event of Default, Lender may, at its election and in addition to all other rights and remedies available at law or in equity, exercise any one or more of the following remedies, concurrently or successively, without further notice or demand (except as expressly required by **Section 14.2** or by applicable law):

(a) declare the entire outstanding principal balance of the Loan, together with all accrued and unpaid interest, late charges, Prepayment Premiums,

Protective Advances and all other amounts due under the Loan Documents, immediately due and payable (and, upon such declaration, all such amounts shall be immediately due and payable without further notice or demand);

(b) institute an action for the foreclosure of this Mortgage and the sale of the Mortgaged Property under the supervision of the court in accordance with the laws of the State of South Carolina;

(c) enforce the assignment of rents set forth in **Article IV**, including by giving notice to the Tenants to pay Rents directly to Lender;

(d) apply for the appointment of a receiver, trustee or custodian for the Mortgaged Property and the Rents, without notice, and Borrower hereby consents to such appointment and waives any requirement for a bond or for notice;

(e) exercise any and all rights and remedies of a secured party under the UCC, including the right to take possession of, and to sell, lease or otherwise dispose of, the Personal Property Collateral, subject to the notice requirements of the UCC;

(f) exercise any and all rights and remedies available under the Environmental Indemnity and the Guaranty, and proceed against Guarantor directly;

(g) cure any default on Borrower's behalf in accordance with **Section 14.6**;

(h) obtain specific performance of any covenant or agreement contained in the Loan Documents, or an injunction against any violation thereof; and

(i) exercise any other right or remedy available under the Loan Documents, at law, in equity, in bankruptcy or otherwise.

Section 15.2 No Power of Sale

Lender and Borrower acknowledge that the State of South Carolina is a judicial-foreclosure state and that this Mortgage does not grant, and shall not be construed to grant, any power of sale or any right to sell the Mortgaged Property without judicial proceedings. Lender's remedies with respect to foreclosure of the lien of this Mortgage shall be pursued by an action in the courts of the State of South Carolina.

Section 15.3 Cumulative Remedies; No Waiver

No right or remedy of Lender under the Loan Documents is intended to be exclusive of any other right or remedy, and each shall be cumulative and in addition to every other right or remedy given under the Loan Documents or now or hereafter existing at law, in equity, by statute or otherwise. No delay or omission by Lender in exercising any right or remedy shall impair any such right or remedy or constitute a waiver thereof, and no waiver by Lender of any Event of Default shall be effective unless in writing and signed by Lender, and then only to the extent expressly stated. A waiver of any Event of Default shall not operate as a waiver of any subsequent Event of Default.

Section 15.4 Application of Payments and Proceeds

All amounts received by Lender after an Event of Default, and all proceeds of foreclosure, sale, receivership, or the exercise of any remedy, shall be applied in the following order: first, to the costs and expenses of collection, enforcement, foreclosure and sale (including reasonable attorneys' fees, court costs, appraisal fees, receivership expenses and title costs); second, to Protective Advances; third, to accrued and unpaid interest (including interest at the Default Rate), late charges and any Prepayment Premium payable in accordance with **Section 13.5**; fourth, to the outstanding principal balance of the Loan; and fifth, to any other amounts due under the Loan Documents. Any surplus shall be paid to Borrower or to such other Person as may be entitled thereto by law.

Section 15.5 Election of Remedies

Lender may proceed against the Mortgaged Property, against Guarantor, against any other collateral, or in any other manner permitted by the Loan Documents or applicable law, in such order and at such times as Lender may determine in its sole discretion, and shall not be required to exhaust any particular remedy, marshal assets, or proceed first against any particular Person or property, except to the extent required by applicable law. Nothing in this Section shall be construed to limit or expand any statutory or common-law election-of-remedies or one-satisfaction rule applicable to Lender's enforcement of the Loan Documents.

Section 15.6 Borrower's Waivers

To the fullest extent permitted by applicable law, Borrower waives: (a) any right to a marshalling of assets or a sale in inverse order of alienation; (b) any right to require Lender to proceed against any other Person or security before proceeding against the Mortgaged Property; (c) any defense based on the adequacy of the security or the availability of any other remedy; (d) any right of subrogation, contribution or reimbursement against any other Person until the Obligations have been paid and performed in full; (e) all rights of redemption from any sale of the Mortgaged Property, except as expressly provided by South Carolina law and not waivable; and (f) presentment, demand, notice of dishonor, protest and notice of protest with respect to the Note.

Section 15.7 Attorneys' Fees and Enforcement Costs

If any Event of Default occurs, or if Lender becomes a party to any litigation, arbitration, bankruptcy or other proceeding relating to the Loan or the Mortgaged Property, Borrower shall pay all costs and expenses incurred by Lender in connection therewith, including reasonable attorneys' fees, expert witness fees, appraisal and inspection costs, title costs, court costs, and the costs of any appeal, together with interest thereon at the Default Rate. Borrower's obligation to pay such amounts shall be secured by this Mortgage and shall survive foreclosure and any bankruptcy proceeding.

Section 15.8 Lender’s Right to Possession

Upon an Event of Default, Lender may, to the extent permitted by applicable law and without limiting any other remedy, take possession of and operate the Mortgaged Property, and Borrower shall promptly surrender possession upon Lender’s written demand. Borrower irrevocably appoints Lender as its attorney-in-fact, coupled with an interest, to take such actions as may be necessary to protect and preserve the Mortgaged Property following an Event of Default, including the management of the Property and the collection of Rents.

ARTICLE XVI — NON-RECOURSE; EXCULPATION

Section 16.1 Non-Recourse Obligations

The Obligations are structured as non-recourse obligations of Borrower, and nothing in this Mortgage shall be construed to create any personal liability of any Member, manager, officer or Affiliate of Borrower (other than Borrower itself) for the payment or performance of the Obligations. Recourse to Borrower and to Guarantor, and the exceptions to the non-recourse nature of the Loan, are governed exclusively by the Note, the Guaranty and the Environmental Indemnity, and in the event of any conflict between this Section and the Note, the Note shall control. Without limiting the foregoing, this Mortgage does not modify, limit or expand the carve-out events described in **Section 5.5(a)** of the Term Sheet, which include fraud or intentional misrepresentation; misapplication or misappropriation of rents, security deposits, insurance proceeds or condemnation awards; voluntary bankruptcy filings; environmental liability arising from the acts or omissions of Borrower, Guarantor or their agents; and violation of the transfer restrictions set forth in **Section 9.2**.

Section 16.2 Limitation on Liability of Guarantor

Nothing in this Mortgage shall be deemed to impose on Guarantor any obligation beyond those expressly assumed by Guarantor in the Guaranty, the Environmental Indemnity and the Completion Guaranty, and Guarantor’s execution of an acknowledgment of this Mortgage, if any, shall not expand Guarantor’s obligations hereunder.

Section 16.3 No Merger

The lien of this Mortgage shall not merge with any other interest, estate or lien held by Lender, whether by foreclosure, deed in lieu of foreclosure, acquisition of title or otherwise, it being the intent of the parties that Lender’s rights and remedies under the Loan Documents continue in full force and effect until the Obligations are indefeasibly paid and performed in full, except to the extent Lender expressly elects otherwise in writing.

ARTICLE XVII — MISCELLANEOUS

Section 17.1 Notices

All notices, demands, consents, approvals and other communications under this Mortgage shall be in writing and shall be deemed duly given (a) when delivered by hand (with written confirmation of receipt), (b) one (1) Business Day after deposit with a nationally recognized overnight courier, (c) three (3) Business Days after deposit in the United States mail, certified or registered, return receipt requested, postage prepaid, or (d) when sent by electronic mail in portable document format, if sent during normal business hours of the recipient and otherwise on the next Business Day, provided that the sender does not receive an automated message indicating non-delivery. Notices shall be addressed as follows:

If to Lender: Calverley Heritage Bank, 412 Whitaker Street, Savannah, Georgia 31401, Attention: Marcus Prideaux, Senior Vice President — Commercial Real Estate Lending, Email: mprideaux@coastalheritagebank.com; with a copy to Fielding, Ashworth & Cole LLP, Attention: Catherine Ashworth, Partner.

If to Borrower: Palmetto Gateway Partners LLC, 88 Broad Street, Suite 200, Charleston, South Carolina 29401, Attention: Neil Ashford Graydon, Managing Member of Graydon Development Group LLC; with a copy to Cartwright & Lyons LLP, Charleston, South Carolina.

If to Guarantor: Neil Ashford Graydon, 14 Church Street, Charleston, South Carolina 29401.

Any party may change its notice address by written notice given in accordance with this Section.

Section 17.2 Governing Law; Venue

This Mortgage shall be governed by and construed in accordance with the laws of the State of South Carolina, without regard to principles of conflicts of law that would require the application of the laws of another jurisdiction. Any litigation arising out of or relating to this Mortgage or the other Loan Documents shall be brought in the courts of the State of South Carolina, County of Charleston, or in the United States District Court for the District of South Carolina, Charleston Division, and each party consents to the personal jurisdiction and venue of such courts.

Section 17.3 Waiver of Jury Trial

BORROWER AND LENDER EACH KNOWINGLY, VOLUNTARILY AND INTENTIONALLY WAIVE ANY RIGHT TO A TRIAL BY JURY IN ANY ACTION, PROCEEDING OR COUNTERCLAIM ARISING OUT OF OR RELATING TO THIS MORTGAGE, THE OTHER LOAN DOCUMENTS, THE LOAN OR THE PROPERTY. Borrower certifies that this waiver is a material inducement to Lender’s making of the Loan and that it has had the opportunity to consult with counsel regarding this waiver.

Section 17.4 Usury Savings

Notwithstanding any other provision of the Loan Documents, no provision of the Loan Documents shall require the payment or permit the collection of interest or other charges in excess of the maximum amount permitted by applicable law. If any amount in excess of such maximum is paid or collected, such excess shall be applied to reduce the principal balance of the Loan (or, if the principal balance has been paid in full, refunded to Borrower), and the effective rate of interest shall be automatically reduced to the maximum lawful rate.

Section 17.5 Severability

If any provision of this Mortgage is held to be invalid, illegal or unenforceable in any respect, such invalidity, illegality or unenforceability shall not affect any other provision, and this Mortgage shall be construed as if such provision had never been contained herein, to the fullest extent permitted by law.

Section 17.6 Successors and Assigns; No Assignment by Borrower

This Mortgage shall be binding upon and shall inure to the benefit of Borrower, Lender and their respective successors and permitted assigns. Borrower may not assign or transfer any of its rights or obligations under this Mortgage except in compliance with **Section 9.2**, and any purported assignment in violation thereof shall be void. Lender may assign or participate its interest in the Loan and this Mortgage without Borrower’s consent, and Borrower shall reasonably cooperate with any such assignment or participation, including by providing such information and estoppel certificates as Lender may reasonably request.

Section 17.7 Entire Agreement; Amendment

The Loan Documents, together with the Term Sheet (to the extent not superseded by the Loan Documents), constitute the entire agreement among the parties with respect to the subject matter hereof and supersede all prior agreements, understandings and negotiations, whether written or oral. In the event of any conflict between the terms of the Term Sheet and the terms of any Loan Document, the terms of the Loan Document shall control. No amendment, modification or waiver of any provision of this Mortgage shall be effective unless in writing and signed by the party against whom enforcement is sought.

Section 17.8 Estoppel Certificates

Within ten (10) Business Days after Lender’s written request, Borrower shall deliver to Lender, or to any prospective purchaser or assignee designated by Lender, a certificate certifying (a) the outstanding principal balance of the Loan and the amount of accrued and unpaid interest, (b) whether any Event of Default exists, (c) the absence of any offsets, defenses or claims against Lender, and (d) such other matters as Lender may reasonably request.

Section 17.9 Time of the Essence

Time is of the essence with respect to each obligation of Borrower under this Mortgage and the other Loan Documents.

Section 17.10 No Partnership or Joint Venture

Nothing in this Mortgage shall be deemed to create a partnership, joint venture or fiduciary relationship between Lender and Borrower, or to make Lender a partner or joint venturer in Borrower's business. The relationship of Lender and Borrower is that of creditor and debtor (and mortgagee and mortgagor) only.

Section 17.11 Recording; Expenses; Documentary Stamps

Borrower shall pay all costs and expenses of recording this Mortgage and all financing statements and amendments in the RMC Office and with the South Carolina Secretary of State, including all documentary stamp taxes, recording fees, title insurance premiums and endorsements, and all other costs of the Loan described in **Section 13.2** of the Term Sheet. The documentary stamp tax payable on this Mortgage, computed at the rate of $1.85 per $500.00 of indebtedness secured hereby on the amount of $14,750,000.00, is $54,575.00, which shall be paid at or prior to recording. Borrower shall pay such additional documentary stamp taxes as may be required in connection with any future advance or increase in the indebtedness secured hereby. Borrower's obligations under this Section shall survive the recording of this Mortgage and shall be secured hereby.

Section 17.12 Counterparts; Electronic Signatures

This Mortgage may be executed in one or more counterparts, each of which shall be deemed an original and all of which together shall constitute one and the same instrument. Delivery of an executed counterpart by facsimile or electronic mail (including in portable document format) shall have the same force and effect as delivery of an originally executed counterpart. Any electronic signature complying with the South Carolina Uniform Electronic Transactions Act, S.C. Code Ann. § 26-6-10 *et seq.*, shall be deemed a valid original signature; provided that, for purposes of recording, an original or notarized counterpart shall be delivered as required.

Section 17.13 Headings; Construction

The headings in this Mortgage are for convenience of reference only and shall not affect the interpretation of any provision. The parties acknowledge that each has been represented by counsel of its choosing in the negotiation and preparation of this Mortgage.

Section 17.14 Acknowledgment of No Fiduciary Duty

Lender's relationship to Borrower is solely that of a lender and mortgagee. Lender has no fiduciary or other special relationship with Borrower, and Borrower acknowledges that Lender has not provided any legal, tax, accounting or investment advice to Borrower in connection with the Loan.

Section 17.15 Survival

All representations, warranties, covenants and indemnities contained in this Mortgage shall survive the closing of the Loan, the recording of this Mortgage and, except to the extent fully performed, the repayment of the Loan.

IN WITNESS WHEREOF, Borrower has executed this Mortgage and Security Agreement as of the Closing Date first written above.

BORROWER:

PALMETTO GATEWAY PARTNERS LLC,
a South Carolina limited liability company

By: Graydon Development Group LLC,
its Managing Member

By: _____
Name: Neil Ashford Graydon
Title: Sole Member and Manager of Graydon Development Group LLC

STATE OF SOUTH CAROLINA)
COUNTY OF CHARLESTON) **PROBATE**
PERSONALLY APPEARED before me, the undersigned Notary Public for South Carolina, Neil Ashford Graydon, who, being duly sworn, deposes and says that he is the Sole Member and Manager of Graydon Development Group LLC, the Managing Member of Palmetto Gateway Partners LLC, and that he, being duly authorized, executed the foregoing Mortgage and Security Agreement on behalf of Palmetto Gateway Partners LLC as its act and deed.

WITNESS my hand and official seal this _____ day of April, 2025.

_____
Notary Public for South Carolina
My Commission Expires: _____

ACCEPTED AND AGREED:

LENDER:

CALVERLEY HERITAGE BANK,
a Georgia state-chartered commercial bank

By: _____
Name: Marcus Prideaux
Title: Senior Vice President — Commercial Real Estate Lending

CONSENT AND ACKNOWLEDGMENT OF GUARANTOR

The undersigned, Neil Ashford Graydon, individually, in his capacity as Guarantor under the Guaranty and as a party to the Environmental Indemnity, (a) acknowledges receipt of a copy of the foregoing Mortgage and Security Agreement, (b) consents to its execution, delivery and recording, and (c) confirms that his obligations under the Guaranty, the Completion Guaranty, the Payment Guaranty and the Environmental Indemnity remain in full force and effect and are not released, reduced or otherwise modified by this Mortgage. Nothing in this

Consent shall be construed to expand the obligations of the undersigned beyond those set forth in the Guaranty and the Environmental Indemnity.

_____
Neil Ashford Graydon, individually

STATE OF SOUTH CAROLINA)
COUNTY OF CHARLESTON) **PROBATE**

PERSONALLY APPEARED before me, the undersigned Notary Public for South Carolina, Neil Ashford Graydon, who is personally known to me or who produced satisfactory evidence of identity, and who acknowledged that he executed the foregoing Consent and Acknowledgment of Guarantor as his act and deed.

WITNESS my hand and official seal this _____ day of April, 2025.

_____
Notary Public for South Carolina
My Commission Expires: _____

EXHIBIT A — LEGAL DESCRIPTION OF THE LAND

PARCEL ONE (Lots 7, 8 and 9, Hampstead Village Plat)

ALL that certain piece, parcel or lot of land, together with any improvements thereon, situate, lying and being in the City of Charleston, County of Charleston, State of South Carolina, being shown and designated as **Lots 7, 8 and 9 of the Hampstead Village Plat**, as recorded in Plat Book 41 at Page 218, in the Office of the Register of Mesne Conveyances for Charleston County, South Carolina, and having such shapes, metes, bounds and measurements as shown on said plat, reference to which is hereby made for a more complete and accurate description thereof.

Being commonly known as 520–534 King Street, Charleston, South Carolina 29403.

Tax Map Nos.: 460-12-04-007 (Lot 7); 460-12-04-008 (Lot 8); and 460-12-04-009 (Lot 9).

PARCEL TWO (Vacated Anson Lane Strip)

TOGETHER WITH that certain strip or parcel of land formerly constituting a portion of Anson Lane, a public street, which was vacated and closed by the City of Charleston pursuant to Ordinance No. 2019-084, and conveyed to the predecessor in title of Borrower by that certain Quitclaim Deed recorded in Deed Book 1128 at Page 443, in the Office of the Register of Mesne Conveyances for Charleston County, South Carolina, said strip being adjacent to and contiguous with Lot 7 of the Hampstead Village Plat, as more particularly described and shown on the plat prepared by Cartwright Land Surveying LLC dated January 15, 2025, recorded in Plat Book 64 at Page 91, in the Office of the Register of Mesne Conveyances for Charleston County, South Carolina.

TOGETHER WITH all of the tenements, hereditaments, easements, rights, privileges and appurtenances to the foregoing belonging or in any way appertaining.

Note. The foregoing description is taken from Commitment for Title Insurance No. PT-2025-04-1178 (effective February 28, 2025), issued by Prestige Title & Settlement Services LLC as agent for Commonwealth National Title Underwriters Inc., and is made by reference to the recorded plats cited above (Plat Book 41 at Page 218 and Plat Book 64 at Page 91). The metes-and-bounds description of Parcel One and Parcel Two prepared by Cartwright Land Surveying LLC and certified in the ALTA/NSPS Land Title Survey dated January 15, 2025 (or re-certified prior to closing) shall be attached to and shall supersede this Exhibit A for all purposes upon delivery to Lender, without the necessity of amendment of this Mortgage.

EXHIBIT B — PERMITTED EXCEPTIONS

The Mortgaged Property is encumbered by, and this Mortgage is subject to, only the following exceptions (the "Permitted Exceptions"), as more particularly described in the Title Commitment:

1. Real Property Taxes (2025 and Subsequent Years). Real property taxes for the year 2025 and all subsequent years on Charleston County Tax Map Nos. 460-12-04-007, 460-12-04-008 and 460-12-04-009, a lien not yet due and payable, payment of which is escrowed pursuant to **Section 12.1**.

2. Utility Easement (South Carolina Electric & Gas). Easement in favor of South Carolina Electric & Gas for the installation, maintenance, repair and replacement of underground utility lines, granted by instrument recorded in Deed Book 987 at Page 112, RMC Office for Charleston County, affecting the westerly boundary of Lot 9 as shown on the Hampstead Village Plat.

3. SCDHEC Land Use Restriction (CREC — Lot 7). Land use restriction and institutional control recorded in Deed Book 1203 at Page 89, RMC Office for Charleston County, imposed by SCDHEC (Site ID No. SC-29403-0772), which (a) prohibits the use of the ground floor of Lot 7 (Tax Map No. 460-12-04-007) for residential purposes, and (b) requires the maintenance and periodic inspection of the Vapor Barrier beneath the slab of the ground-floor commercial space on Lot 7 (Bay 1, 520 King Street). This exception is a matter of record that runs with the land and is not subject to removal; Borrower's obligations with respect thereto are set forth in **Section 7.1**.

4. Balcony Encroachment Over King Street Right-of-Way. Encroachment of a decorative iron balcony extending approximately 2.5 feet beyond the front façade of the Improvements over and across the King Street public right-of-way, as shown on the ALTA/NSPS Land Title Survey prepared by Cartwright Land Surveying LLC dated January 15, 2025, and Borrower's obligations with respect thereto are set forth in **Section 3.3**.

5. Rights of Tenants in Possession. Rights of tenants under the Leases described in **Exhibit D**, as tenants only, without any option to purchase or right of first refusal to purchase the Property or any portion thereof, including: (a) Lowcountry Provisions Inc. — Bay 1, 520 King Street (approximately 3,800 SF); (b) Harmon & Wren Design Studio LLC — Bay 3, 534 King Street (approximately 3,800 SF); and (c) Tidemark Consulting Group LLC — 2nd Floor Suite A (approximately 9,800 SF), including the right of first refusal in favor of Harmon & Wren Design Studio LLC to lease Bay 2 described in **Section 4.9**.

6. Plat Matters. All matters shown on the plat recorded in Plat Book 41 at Page 218, RMC Office for Charleston County, including setback lines, rights-of-way, drainage easements and notations thereon, and all matters shown on the plat recorded in Plat Book 64 at Page 91, RMC Office for Charleston County.

7. Standard Exceptions to be Removed. The standard printed exceptions described in Schedule B, Part II, Items 1(a) through 1(e) of the Title Commitment

shall be removed from the Title Policy prior to or concurrently with closing by the delivery of the ALTA/NSPS Land Title Survey, owner's affidavit, gap indemnity and lien waivers contemplated by Requirement 9 and Requirement 12 of the Title Commitment. Any such standard exception that is not so removed shall not constitute a Permitted Exception for purposes of this Mortgage, and Borrower's failure to cause its removal shall constitute a failure of the condition precedent set forth in **Section 12.1(b)** of the Term Sheet.

EXHIBIT C — RENOVATION BUDGET AND FUNDING ALLOCATION

Part 1 — Renovation Budget (Total $3,150,000)

No.	Line Item and Description	Total Budget	Lender Holdback	Borrower Equity
1	HVAC replacement (rooftop units, ductwork, controls)	$1,200,000	$850,000	$350,000
2	Elevator modernization (floors 1–3)	$475,000	$375,000	$100,000
3	Façade restoration (masonry, windows, ironwork, balcony)	$625,000	$425,000	$200,000
4	Tenant improvement allowances (Bay 2; Suite B)	$550,000	$450,000	$100,000
5	Soft costs ($200,000) and contingency ($100,000)	$300,000	$150,000	$150,000
	Total Renovation Budget	**$3,150,000**	**$2,250,000**	**$900,000**

Line Items 1 through 4 constitute hard costs of construction in the aggregate amount of $2,850,000. Line Item 5 constitutes soft costs and contingency in the amount of $300,000 and is outside the scope of the GC Contract.

Part 2 — Contract Structure

Component	Amount
GC Contract — Beaufort Builders Group LLC (SC License No. SC-GC-47921), contract sum covering hard costs of construction (Line Items 1–4)	$2,850,000
Soft Costs and Contingency (Line Item 5; outside the GC Contract)	$300,000
Total Renovation Budget	**$3,150,000**

The scope of the GC Contract, including whether the Tenant Improvement Allowances constituting Line Item 4 are within or outside the GC Contract sum, shall be confirmed by the fully executed GC Contract and all change orders delivered pursuant to **Section 12.1(l)** of the Term Sheet and **Section 12.4(g)**. The collateral assignment in **Section 2.4**, the lien waiver requirements of **Section 12.4(c)** and the inspection requirements of **Section 12.4(c)(v)** apply to all work within the GC Contract scope.

Part 3 — Funding Sources

Component	Amount
Renovation Holdback (Loan proceeds)	$2,250,000
Borrower Equity for Renovation	$900,000
Total Renovation Funding	**$3,150,000**

Part 4 — Draw Schedule Summary (Illustrative)

Draw	Month	Lender Draw	Borrower Equity	Cumulative Total	% Complete
1	May 2025	$25,000	$75,000	$100,000	3%
2	Jun 2025	$165,000	$90,000	$355,000	11%
3	Jul 2025	$250,000	$100,000	$705,000	22%
4	Aug 2025	$235,000	$90,000	$1,030,000	33%

Draw	Month	Lender Draw	Borrower Equity	Cumulative Total	% Complete
5	Sep 2025	$235,000	$85,000	$1,350,000	43%
6	Oct 2025	$285,000	$100,000	$1,735,000	55%
7	Nov 2025	$285,000	$60,000	$2,080,000	66%
8	Dec 2025	$240,000	$70,000	$2,390,000	76%
9	Jan 2026	$160,000	$70,000	$2,620,000	83%
10	Feb 2026	$130,000	$70,000	$2,820,000	90%
11	Mar 2026	$110,000	$40,000	$2,970,000	94%
12	Apr 2026	$65,000	$30,000	$3,065,000	97%
13	May 2026	$50,000	$10,000	$3,125,000	99%
14	Jun 2026	$15,000	$15,000	$3,155,000	100%
	Total	**$2,250,000**	**$905,000**	**$3,155,000**	

Note. Part 4 reflects Borrower's anticipated draw cadence and is not a commitment by Lender to disburse on any particular schedule or in any particular amount. Each disbursement is subject to the conditions of **Section 12.4**. Borrower acknowledges that all Renovation costs in excess of the Renovation Holdback, including all cost overruns, are the sole responsibility of Borrower pursuant to **Section 12.4(f)**.

EXHIBIT D — RENT ROLL AND LEASE SUMMARY AS OF THE CLOSING DATE

Unit	Tenant	SF	Lease Type	Rent $/SF	Annual Rent	Expiration	Status
Bay 1	Lowcountry Provisions Inc.	3,800	NNN	$28.50	$108,300	12/31/2027	Occupied
Bay 2	—	3,800	—	—	—	—	**Vacant**
Bay 3	Harmon & Wren Design Studio LLC	3,800	Modified Gross	$24.00	$91,200	06/30/2026	Occupied
Suite A	Tidemark Consulting Group LLC	9,800	NNN	$22.00	$215,600	03/31/2029	Occupied
Suite B	—	9,800	—	—	—	—	**Vacant**
Total	3 of 5 units occupied	**31,000**			**$415,100**		

Occupancy: 17,400 rentable square feet occupied (17,400 ÷ 31,000 = **56.13%** by area; 60% by unit count). Vacant area: 13,600 rentable square feet (Bay 2 — 3,800 SF; Suite B — 9,800 SF), being **43.87%** of gross building area.

Security deposits held under the Leases: Lowcountry Provisions Inc. — $18,050.00; Harmon & Wren Design Studio LLC — $15,200.00; Tidemark Consulting Group LLC — $35,933.00; aggregate — $69,183.00.

Additional lease matters disclosed:

1. **Lowcountry Lease (Bay 1).** The Lease contains no assignment, subletting or consent-to-assignment provision. See **Sections 4.5(b)** and **4.7(c)**.
2. **Harmon & Wren Lease (Bay 3).** The Lease contains a right of first refusal with respect to the leasing of Bay 2, which survives renewal; a renewal option for one (3)-year term at 95% of fair market value, exercisable with six (6) months’ notice by December 31, 2025; and an early termination right that expired unexercised on December 31, 2024.
3. **Tidemark Lease (Suite A).** NNN lease with two (2) three-year renewal options at fair market value, exercisable with twelve (12) months’ notice.
4. **Certification; scheduled escalations.** Borrower shall deliver at closing a rent roll certified as true, correct and complete as of the Closing Date, conformed to reflect the effect of all scheduled base rent escalations (3% annually each January 1 under the Lowcountry Lease; 2.5% annually each July 1 under the Harmon & Wren Lease; and 2.5% annually each April 1 commencing April 1, 2026 under the Tidemark Lease). The amounts in the table above shall be conformed to such certified rent roll, and Borrower’s certification shall be deemed a representation and warranty for purposes of **Section 6.3**.

[End of Mortgage and Security Agreement]